

**UNITED STATES
SECURITIES AND EXCHANGE COMMISSION**
Washington, D.C. 20549

FORM 10-Q

☒ **QUARTERLY REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

For the quarterly period ended August 15, 2026
OR

☐ **TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

For the transition period from to
Commission file number 1-303



The Kroger Co.

(Exact name of registrant as specified in its charter)

Ohio
(State or other jurisdiction of
incorporation or organization)

31-0345740
(I.R.S. Employer
Identification No.)

1014 Vine Street, Cincinnati, Ohio 45202
(Address of principal executive offices)
(Zip Code)

(513) 762-4000
(Registrant's telephone number, including area code)

Unchanged
(Former name, former address and former fiscal year, if changed since last report)

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol	Name of each exchange on which registered
Common, \$1.00 Par Value	KR	New York Stock Exchange

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15 (d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12b-2 of the Exchange Act.

Large accelerated filer	☒	Accelerated filer	☐
Non-accelerated filer	☐	Smaller reporting company	☐
		Emerging growth company	☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act). Yes ☐ No ☒.

There were 590,588,700 shares of Common Stock (\$1 par value) outstanding as of September 15, 2026.

PART I – FINANCIAL INFORMATION

Item 1. Financial Statements.

THE KROGER CO. CONSOLIDATED STATEMENTS OF OPERATIONS (unaudited)

(In millions, except per share amounts)	Second Quarter Ended		Two Quarters Ended	
	August 15, 2026	August 16, 2025	August 15, 2026	August 16, 2025
Sales	\$ 34,621	\$ 33,940	\$ 80,742	\$ 79,058
Operating expenses				
Merchandise costs, including advertising, warehousing, and transportation, excluding items shown separately below	26,763	26,130	62,256	60,681
Operating, general and administrative	5,952	5,967	13,915	13,890
Rent	198	202	467	473
Depreciation and amortization	737	778	1,726	1,829
Operating profit	971	863	2,378	2,185
Other income (expense)				
Net interest expense	(156)	(144)	(365)	(343)
Non-service component of company-sponsored pension plan expense	(9)	(3)	(16)	(4)
Gain on investments	34	56	20	37
Net earnings before income tax expense	840	772	2,017	1,875
Income tax expense	198	162	471	397
Net earnings including noncontrolling interests	642	610	1,546	1,478
Net income attributable to noncontrolling interests	1	1	3	3
Net earnings attributable to The Kroger Co.	<u>\$ 641</u>	<u>\$ 609</u>	<u>\$ 1,543</u>	<u>\$ 1,475</u>
Net earnings attributable to The Kroger Co. per basic common share	<u>\$ 1.05</u>	<u>\$ 0.91</u>	<u>\$ 2.52</u>	<u>\$ 2.22</u>
Average number of common shares used in basic calculation	606	662	610	661
Net earnings attributable to The Kroger Co. per diluted common share	<u>\$ 1.05</u>	<u>\$ 0.91</u>	<u>\$ 2.51</u>	<u>\$ 2.20</u>
Average number of common shares used in diluted calculation	608	665	612	664

The accompanying notes are an integral part of the Consolidated Financial Statements.

THE KROGER CO.
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(unaudited)

(In millions)	Second Quarter Ended		Two Quarters Ended	
	August 15, 2026	August 16, 2025	August 15, 2026	August 16, 2025
Net earnings including noncontrolling interests	\$ 642	\$ 610	\$ 1,546	\$ 1,478
Other comprehensive income (loss)				
Change in pension and other postretirement defined benefit plans, net of income tax ⁽¹⁾	4	2	7	1
Unrealized gains and losses on cash flow hedging activities, net of income tax ⁽²⁾	1	(1)	7	—
Amortization of unrealized gains and losses on cash flow hedging activities, net of income tax ⁽³⁾	1	3	3	5
Total other comprehensive income	6	4	17	6
Comprehensive income	648	614	1,563	1,484
Comprehensive income attributable to noncontrolling interests	1	1	3	3
Comprehensive income attributable to The Kroger Co.	<u>\$ 647</u>	<u>\$ 613</u>	<u>\$ 1,560</u>	<u>\$ 1,481</u>

- (1) Amount is net of tax of \$1 for the second quarter of 2026. Amount is net of tax of \$2 for the first two quarters of 2026.
(2) Amount is net of tax of \$2 for the first two quarters of 2026. Amount is net of tax of \$(1) for the second quarter of 2025.
(3) Amount is net of tax of \$2 for the second quarter of 2026. Amount is net of tax of \$3 for the first two quarters of 2026 and \$1 for the first two quarters of 2025.

The accompanying notes are an integral part of the Consolidated Financial Statements.

THE KROGER CO.
CONSOLIDATED BALANCE SHEETS
(unaudited)

(In millions, except par amounts)	August 15, 2026	January 31, 2026
ASSETS		
Current assets		
Cash and temporary cash investments	\$ 1,676	\$ 3,334
Store deposits in-transit	1,060	1,244
Receivables	2,187	2,192
FIFO inventory	9,926	9,445
LIFO reserve	(2,644)	(2,553)
Prepaid and other current assets	721	843
Total current assets	12,926	14,505
Property, plant and equipment, net	25,265	24,260
Operating lease assets	6,753	6,682
Intangibles, net	848	808
Goodwill	2,624	2,595
Other assets	1,075	1,103
Total Assets	<u>\$ 49,491</u>	<u>\$ 49,953</u>
LIABILITIES		
Current liabilities		
Current portion of long-term debt including obligations under finance leases	\$ 1,838	\$ 1,802
Current portion of operating lease liabilities	664	665
Accounts payable	10,775	10,488
Accrued salaries and wages	1,206	1,267
Other current liabilities	3,935	3,886
Total current liabilities	18,418	18,108
Long-term debt including obligations under finance leases	15,159	15,764
Noncurrent operating lease liabilities	6,497	6,461
Deferred income taxes	1,184	1,094
Pension and postretirement benefit obligations	409	421
Other long-term liabilities	1,978	2,169
Total Liabilities	43,645	44,017
Commitments and contingencies (see Note 5)		
SHAREOWNERS' EQUITY		
Preferred shares, \$100 par per share, 5 shares authorized and unissued	—	—
Common shares, \$1 par per share, 2,000 shares authorized; 1,918 shares issued in 2026 and 2025	1,918	1,918
Additional paid-in capital	3,975	3,907
Accumulated other comprehensive loss	(618)	(635)
Accumulated earnings	29,947	28,850
Common shares in treasury, at cost, 1,322 shares in 2026 and 1,303 shares in 2025	(29,382)	(28,113)
Total Shareowners' Equity - The Kroger Co.	5,840	5,927
Noncontrolling interests	6	9
Total Equity	5,846	5,936
Total Liabilities and Equity	<u>\$ 49,491</u>	<u>\$ 49,953</u>

The accompanying notes are an integral part of the Consolidated Financial Statements.

THE KROGER CO.
CONSOLIDATED STATEMENTS OF CASH FLOWS
(unaudited)

(In millions)	Two Quarters Ended	
	August 15, 2026	August 16, 2025
Cash Flows from Operating Activities:		
Net earnings including noncontrolling interests	\$ 1,546	\$ 1,478
Adjustments to reconcile net earnings including noncontrolling interests to net cash provided by operating activities:		
Depreciation and amortization	1,726	1,829
Asset impairment and store closure charges	66	114
Operating lease asset amortization	314	318
LIFO charge	91	102
Share-based employee compensation	101	83
Deferred income taxes	94	(31)
Gain on sale of assets	(26)	(6)
Gain on investments	(20)	(37)
Other	15	(29)
Changes in operating assets and liabilities:		
Store deposits in-transit	185	179
Receivables	(162)	(12)
Inventories	(460)	92
Prepaid and other current assets	(85)	(91)
Accounts payable	(4)	(14)
Accrued expenses	38	181
Income taxes receivable and payable	219	6
Operating lease liabilities	(367)	(291)
Other	(186)	(183)
Net cash provided by operating activities	3,085	3,688
Cash Flows from Investing Activities:		
Payments for property and equipment, including payments for lease buyouts	(2,437)	(1,968)
Other	42	(139)
Net cash used by investing activities	(2,395)	(2,107)
Cash Flows from Financing Activities:		
Payments on long-term debt including obligations under finance leases	(604)	(122)
Dividends paid	(431)	(422)
Proceeds from issuance of capital stock	36	163
Treasury stock purchases	(1,271)	(203)
Other	(78)	(73)
Net cash used by financing activities	(2,348)	(657)
Net (decrease) increase in cash and temporary cash investments	(1,658)	924
Cash and temporary cash investments:		
Beginning of year	3,334	3,959
End of period	\$ 1,676	\$ 4,883
Reconciliation of capital investments:		
Payments for property and equipment, including payments for lease buyouts	\$ (2,437)	\$ (1,968)
Payments for lease buyouts	37	11
Changes in construction-in-progress payables	(251)	(73)
Total capital investments, excluding lease buyouts	\$ (2,651)	\$ (2,030)
Disclosure of cash flow information:		
Cash paid during the year for net interest	\$ 372	\$ 370
Cash paid during the year for income taxes	\$ 159	\$ 415

The accompanying notes are an integral part of the Consolidated Financial Statements.

THE KROGER CO.
CONSOLIDATED STATEMENTS OF CHANGES IN SHAREOWNERS' EQUITY
(unaudited)

(In millions, except per share amounts)	Common Stock		Additional Paid-In Capital	Treasury Stock		Accumulated Other Comprehensive Income (Loss)	Accumulated Earnings	Noncontrolling Interest	Total
	Shares	Amount		Shares	Amount				
Balances at February 1, 2025	1,918	\$ 1,918	\$ 3,087	1,258	\$ (24,823)	\$ (621)	\$ 28,724	\$ (4)	\$ 8,281
Issuance of common stock:									
Stock options exercised	—	—	—	(4)	145	—	—	—	145
Restricted stock issued	—	—	(65)	(1)	32	—	—	—	(33)
Treasury stock activity:									
Stock options exchanged	—	—	—	4	(181)	—	—	—	(181)
Share-based employee compensation	—	—	38	—	—	—	—	—	38
Other comprehensive income net of tax of \$2	—	—	—	—	—	2	—	—	2
Other	—	—	99	—	(99)	—	2	(3)	(1)
Cash dividends declared (\$0.32 per common share)	—	—	—	—	—	—	(211)	—	(211)
Net earnings including noncontrolling interests	—	—	—	—	—	—	866	2	868
Balances at May 24, 2025	1,918	\$ 1,918	\$ 3,159	1,257	\$ (24,926)	\$ (619)	\$ 29,381	\$ (5)	\$ 8,908
Issuance of common stock:									
Stock options exercised	—	—	—	(1)	18	—	—	—	18
Restricted stock issued	—	—	(103)	(1)	54	—	—	—	(49)
Treasury stock activity:									
Stock options exchanged	—	—	—	—	(22)	—	—	—	(22)
Share-based employee compensation	—	—	45	—	—	—	—	—	45
Other comprehensive income net of tax of \$(1)	—	—	—	—	—	4	—	—	4
Other	—	—	73	—	(73)	—	(2)	(1)	(3)
Cash dividends declared (\$0.35 per common share)	—	—	—	—	—	—	(234)	—	(234)
Net earnings including noncontrolling interests	—	—	—	—	—	—	609	1	610
Balances at August 16, 2025	1,918	\$ 1,918	\$ 3,174	1,255	\$ (24,949)	\$ (615)	\$ 29,754	\$ (5)	\$ 9,277
Issuance of common stock:									
Stock options exercised	—	—	—	(1)	17	—	—	—	17
Restricted stock issued	—	—	(3)	—	4	—	—	—	1
Treasury stock activity:									
Treasury stock purchases, at cost	—	—	655	21	(1,381)	—	—	—	(726)
Stock options exchanged	—	—	—	1	(22)	—	—	—	(22)
Share-based employee compensation	—	—	37	—	—	—	—	—	37
Other comprehensive income net of income tax of \$1	—	—	—	—	—	2	—	—	2
Other	—	—	8	—	(8)	—	—	(3)	(3)
Cash dividends declared (\$0.35 per common share)	—	—	—	—	—	—	(229)	—	(229)
Net earnings (loss) including noncontrolling interests	—	—	—	—	—	—	(1,320)	5	(1,315)
Balances at November 8, 2025	1,918	\$ 1,918	\$ 3,871	1,276	\$ (26,339)	\$ (613)	\$ 28,205	\$ (3)	\$ 7,039
Issuance of common stock:									
Stock options exercised	—	—	—	1	2	—	—	—	2
Restricted stock issued	—	—	(1)	—	—	—	—	—	(1)
Treasury stock activity:									
Treasury stock purchases, at cost	—	—	—	27	(1,773)	—	—	—	(1,773)
Stock options exchanged	—	—	—	(1)	(3)	—	—	—	(3)
Share-based employee compensation	—	—	37	—	—	—	—	—	37
Other comprehensive income net of income tax of \$(7)	—	—	—	—	—	(22)	—	—	(22)
Other	—	—	—	—	—	—	—	12	12
Cash dividends declared (\$0.35 per common share)	—	—	—	—	—	—	(216)	—	(216)
Net earnings including noncontrolling interests	—	—	—	—	—	—	861	—	861
Balances at January 31, 2026	1,918	\$ 1,918	\$ 3,907	1,303	\$ (28,113)	\$ (635)	\$ 28,850	\$ 9	\$ 5,936

The accompanying notes are an integral part of the Consolidated Financial Statements.

THE KROGER CO.
CONSOLIDATED STATEMENTS OF CHANGES IN SHAREOWNERS' EQUITY
(unaudited)

(In millions, except per share amounts)	Common Stock		Additional Paid-In Capital	Treasury Stock		Accumulated Other Comprehensive Income (Loss)	Accumulated Earnings	Noncontrolling Interest	Total
	Shares	Amount		Shares	Amount				
Balances at January 31, 2026	1,918	\$ 1,918	\$ 3,907	1,303	\$ (28,113)	\$ (635)	\$ 28,850	\$ 9	\$ 5,936
Issuance of common stock:									
Stock options exercised	—	—	—	(1)	30	—	—	—	30
Restricted stock issued	—	—	(53)	(1)	25	—	—	—	(28)
Treasury stock activity:									
Treasury stock purchases, at cost	—	—	—	3	(198)	—	—	—	(198)
Stock options exchanged	—	—	—	1	(15)	—	—	—	(15)
Share-based employee compensation	—	—	57	—	—	—	—	—	57
Other comprehensive income net of tax of \$4	—	—	—	—	—	11	—	—	11
Other	—	—	49	—	(49)	—	—	(4)	(4)
Cash dividends declared (\$0.35 per common share)	—	—	—	—	—	—	(215)	—	(215)
Net earnings including noncontrolling interests	—	—	—	—	—	—	903	1	904
Balances at May 23, 2026	1,918	\$ 1,918	\$ 3,960	1,305	\$ (28,320)	\$ (624)	\$ 29,538	\$ 6	\$ 6,478
Issuance of common stock:									
Stock options exercised	—	—	—	—	6	—	—	—	6
Restricted stock issued	—	—	(96)	(2)	68	—	—	—	(28)
Treasury stock activity:									
Treasury stock purchases, at cost	—	—	—	18	(1,039)	—	—	—	(1,039)
Stock options exchanged	—	—	—	1	(30)	—	—	—	(30)
Share-based employee compensation	—	—	44	—	—	—	—	—	44
Other comprehensive income net of tax of \$3	—	—	—	—	—	6	—	—	6
Other	—	—	67	—	(67)	—	1	(1)	—
Cash dividends declared (\$0.39 per common share)	—	—	—	—	—	—	(233)	—	(233)
Net earnings including noncontrolling interests	—	—	—	—	—	—	641	1	642
Balances at August 15, 2026	<u>1,918</u>	<u>\$ 1,918</u>	<u>\$ 3,975</u>	<u>1,322</u>	<u>\$ (29,382)</u>	<u>\$ (618)</u>	<u>\$ 29,947</u>	<u>\$ 6</u>	<u>\$ 5,846</u>

The accompanying notes are an integral part of the Consolidated Financial Statements.

NOTES TO UNAUDITED CONSOLIDATED FINANCIAL STATEMENTS

All amounts in the Notes to the Unaudited Consolidated Financial Statements are in millions except per share amounts.

1. ACCOUNTING POLICIES

Basis of Presentation and Principles of Consolidation

The accompanying financial statements include the consolidated accounts of The Kroger Co., its wholly-owned subsidiaries and other consolidated entities. The January 31, 2026 balance sheet was derived from audited financial statements and, due to its summary nature, does not include all disclosures required by generally accepted accounting principles ("GAAP"). Significant intercompany transactions and balances have been eliminated. References to the "Company" in these Consolidated Financial Statements mean the consolidated company.

In the opinion of management, the accompanying unaudited Consolidated Financial Statements include adjustments, all of which are of a normal, recurring nature that are necessary for a fair statement of results of operations for such periods but should not be considered as indicative of results for a full year. The financial statements have been prepared by the Company pursuant to the rules and regulations of the Securities and Exchange Commission ("SEC"). Certain information and footnote disclosures normally included in financial statements prepared in accordance with GAAP have been omitted, pursuant to SEC regulations. Accordingly, the accompanying Consolidated Financial Statements should be read in conjunction with the financial statements in the Company's Annual Report on Form 10-K for the fiscal year ended January 31, 2026.

The unaudited information in the Consolidated Financial Statements for the second quarters ended August 15, 2026 and August 16, 2025 includes the results of operations of the Company for the 12 and 28-week periods then ended.

Fair Value Measurements

Fair value measurements are classified and disclosed in one of the following three categories:

Level 1 – Quoted prices are available in active markets for identical assets or liabilities;

Level 2 – Pricing inputs are other than quoted prices in active markets included in Level 1, which are either directly or indirectly observable; or

Level 3 – Unobservable pricing inputs in which little or no market activity exists, therefore requiring an entity to develop its own assumptions about the assumptions that market participants would use in pricing an asset or liability.

The Company records cash and temporary cash investments, store deposits in-transit, receivables, prepaid and other current assets, accounts payable, accrued salaries and wages and other current liabilities at approximated fair value. Certain other investments and derivatives are recorded as Level 1, 2 or 3 instruments.

The fair value of certain financial instruments, measured using Level 1 inputs, was \$162 and \$142 as of August 15, 2026 and January 31, 2026, respectively, and is included in "Other assets" in the Company's Consolidated Balance Sheets. An unrealized gain for these Level 1 investments of approximately \$20 and \$37 for the first two quarters of 2026 and 2025, respectively, is included in "Gain on investments" in the Company's Consolidated Statements of Operations. An unrealized gain for these Level 1 investments of approximately \$34 and \$56 for the second quarters of 2026 and 2025, respectively, is included in "Gain on investments" in the Company's Consolidated Statements of Operations.

Refer to Note 2 for the disclosure of debt instrument fair values.

2. DEBT OBLIGATIONS

Long-term debt consists of:

	August 15, 2026	January 31, 2026
1.70% to 8.00% Senior Notes due through 2064	\$ 14,370	\$ 14,864
Other	997	1,011
Total debt, excluding obligations under finance leases	15,367	15,875
Less current portion	(1,452)	(1,366)
Total long-term debt, excluding obligations under finance leases	<u>\$ 13,915</u>	<u>\$ 14,509</u>

The fair value of the Company's long-term debt, including current maturities, was estimated based on Level 2 quoted market prices for the same or similar issues adjusted for illiquidity based on available market evidence. If quoted market prices were not available, the fair value was based upon the net present value of the future cash flow using the forward interest rate yield curve in effect at August 15, 2026 and January 31, 2026. At August 15, 2026, the fair value of total debt was \$13,900 compared to a carrying value of \$15,367. At January 31, 2026, the fair value of total debt was \$14,975 compared to a carrying value of \$15,875.

In the first two quarters of 2026, the Company repaid \$500 of senior notes bearing an interest rate of 3.5% using cash on hand.

As of August 15, 2026 and January 31, 2026, Other debt consisted primarily of a financial obligation related to a sale transaction for properties that did not qualify for sale-leaseback accounting treatment in 2021.

3. BENEFIT PLANS

The following table provides the components of net periodic benefit cost for the company-sponsored defined benefit pension plans and other postretirement benefit plans for the second quarters of 2026 and 2025:

	Second Quarter Ended			
	Pension Benefits		Other Benefits	
	August 15, 2026	August 16, 2025	August 15, 2026	August 16, 2025
Components of net periodic benefit cost:				
Service cost	\$ 1	\$ 2	\$ 1	\$ 1
Interest cost	30	31	3	2
Expected return on plan assets	(29)	(32)	—	—
Amortization of:				
Prior service cost	—	—	(1)	(1)
Actuarial loss	5	3	1	—
Net periodic benefit cost	<u>\$ 7</u>	<u>\$ 4</u>	<u>\$ 4</u>	<u>\$ 2</u>

The following table provides the components of net periodic benefit cost for the company-sponsored defined benefit pension plans and other post-retirement benefit plans for the first two quarters of 2026 and 2025:

	Two Quarters Ended			
	Pension Benefits		Other Benefits	
	August 15, 2026	August 16, 2025	August 15, 2026	August 16, 2025
Components of net periodic benefit cost (benefit):				
Service cost	\$ 3	\$ 4	\$ 3	\$ 2
Interest cost	69	71	6	6
Expected return on plan assets	(68)	(74)	—	—
Amortization of:				
Prior service cost	—	—	(2)	(2)
Actuarial loss (gain)	11	7	—	(4)
Net periodic benefit cost	<u>\$ 15</u>	<u>\$ 8</u>	<u>\$ 7</u>	<u>\$ 2</u>

The Company is not required to make any significant contributions to its company-sponsored pension plans in 2026 but may make contributions to the extent such contributions are beneficial to the Company. The Company did not make any significant contributions to its company-sponsored pension plans in the first two quarters of 2026 or 2025.

The Company contributed \$178 and \$175 to employee 401(k) retirement savings accounts in the first two quarters of 2026 and 2025, respectively.

4. EARNINGS PER COMMON SHARE

Net earnings attributable to The Kroger Co. per basic common share equals net earnings attributable to The Kroger Co. less income allocated to participating securities divided by the weighted-average number of common shares outstanding. Net earnings attributable to The Kroger Co. per diluted common share equals net earnings attributable to The Kroger Co. less income allocated to participating securities divided by the weighted-average number of common shares outstanding, after giving effect to dilutive stock options. The following table provides a reconciliation of net earnings attributable to The Kroger Co. and shares used in calculating net earnings attributable to The Kroger Co. per basic common share to those used in calculating net earnings attributable to The Kroger Co. per diluted common share:

	Second Quarter Ended August 15, 2026			Second Quarter Ended August 16, 2025		
	Earnings (Numerator)	Shares (Denominator)	Per Share Amount	Earnings (Numerator)	Shares (Denominator)	Per Share Amount
Net earnings attributable to The Kroger Co. per basic common share	\$ 636	606	\$ 1.05	\$ 604	662	\$ 0.91
Dilutive effect of stock options		<u>2</u>			<u>3</u>	
Net earnings attributable to The Kroger Co. per diluted common share	\$ 636	<u>608</u>	\$ 1.05	\$ 604	<u>665</u>	\$ 0.91
	Two Quarters Ended August 15, 2026			Two Quarters Ended August 16, 2025		
	Earnings (Numerator)	Shares (Denominator)	Per Share Amount	Earnings (Numerator)	Shares (Denominator)	Per Share Amount
Net earnings attributable to The Kroger Co. per basic common share	\$ 1,533	610	\$ 2.52	\$ 1,464	661	\$ 2.22
Dilutive effect of stock options		<u>2</u>			<u>3</u>	
Net earnings attributable to The Kroger Co. per diluted common share	\$ 1,533	<u>612</u>	\$ 2.51	\$ 1,464	<u>664</u>	\$ 2.20

The Company had combined undistributed and distributed earnings to participating securities totaling \$5 in both the second quarters of 2026 and 2025. For the first two quarters of 2026 and 2025, the Company had combined undistributed and distributed earnings to participating securities of \$10 and \$11, respectively.

The Company had options outstanding for approximately 4 million and 1 million shares during the second quarters of 2026 and 2025, respectively, that were excluded from the computations of net earnings per diluted common share because their inclusion would have had an anti-dilutive effect on net earnings per share. The Company had options outstanding for approximately 3 million and 1 million shares during the first two quarters of 2026 and 2025, respectively, that were excluded from the computations of net earnings per diluted common share because their inclusion would have had an anti-dilutive effect on net earnings per share.

5. COMMITMENTS AND CONTINGENCIES

The Company continuously evaluates contingencies based upon the best available evidence.

The Company believes that allowances for loss have been provided to the extent necessary and that its assessment of contingencies is reasonable. To the extent that resolution of contingencies results in amounts that vary from the Company's estimates, future earnings will be charged or credited.

The principal contingencies are described below:

Insurance — The Company's workers' compensation risks are self-insured in most states. In addition, other workers' compensation risks and certain levels of insured general liability risks are based on retrospective premium plans, deductible plans and self-insured retention plans. The liability for workers' compensation risks is accounted for on a present value basis. Actual claim settlements and expenses incident thereto may differ from the provisions for loss. Property risks have been underwritten by a subsidiary and are reinsured with unrelated insurance companies for losses exceeding specified retention levels. Operating divisions and subsidiaries have paid premiums, and the insurance subsidiary has provided loss allowances, based upon actuarially determined estimates.

Litigation — Various claims and lawsuits arising in the normal course of business, including personal injury, contract disputes, employment discrimination, wage and hour and other regulatory claims are pending against the Company. Some of these suits purport or have been determined to be class actions and/or seek substantial damages. Although it is not possible at this time to evaluate the merits of all of these claims and lawsuits, nor their likelihood of success, the Company is of the belief that any resulting liability will not have a material effect on the Company's financial position, results of operations, or cash flows.

The Company continually evaluates its exposure to loss contingencies arising from pending or threatened litigation and believes it has made provisions where it is reasonably possible to estimate and when an adverse outcome is probable. Nonetheless, assessing and predicting the outcomes of these matters involves substantial uncertainties. Management currently believes that the aggregate range of loss for the Company's exposure is not material to the Company. It remains possible that despite management's current belief, material differences in actual outcomes or changes in management's evaluation or predictions could arise that could have a material adverse effect on the Company's financial condition, results of operations, or cash flows.

Opioids

The Company is one of dozens of companies that have been named in various lawsuits alleging that defendants contributed to create a public nuisance through the distribution and dispensing of opioids.

On December 30, 2024, the Company finalized a settlement with plaintiffs to settle the majority of opioid claims that have been or could be brought against Kroger by states and subdivisions in which it operates. On September 26, 2025, the Company finalized a separate opioid settlement with plaintiffs to settle all of the opioid claims that have been or could be brought against Kroger by Native American tribes.

As part of these settlement agreements, the Company agreed to pay up to \$1,200 to states and subdivisions and \$36 to Native American tribes in funding for abatement efforts over 11 years, and approximately \$177 to cover attorneys' fees and costs over 6 years. The exact payment amounts to the states and subdivisions will depend on several factors, including the extent to which states take action to foreclose opioid lawsuits by political subdivisions (e.g., by passing laws barring or limiting opioid lawsuits by political subdivisions), and the extent to which additional political subdivisions in participating states file additional opioid lawsuits against the Company. The settlements provide for the full resolution of all claims on behalf of participating states, subdivisions and Native American tribes and are not an admission of any wrongdoing or liability. Certain opioid-related cases against the Company remain pending in the multidistrict litigation and in various state courts, including those brought by non-participating states and subdivisions and private parties such as hospitals and third-party payors. The Company continues to defend these cases.

As of August 15, 2026, the Company recorded \$133 and \$845 of the estimated settlement liability in “Other current liabilities” and “Other long-term liabilities,” respectively, in the Company’s Consolidated Balance Sheets related to these opioid settlements. As of January 31, 2026, the Company recorded \$132 and \$981 of the estimated settlement liability in “Other current liabilities” and “Other long-term liabilities,” respectively, in the Company’s Consolidated Balance Sheets related to these opioid settlements.

Because of the many uncertainties associated with any settlement arrangement or other resolution of opioid-related litigation matters, and because the Company continues to actively defend ongoing litigation for which it believes it has defenses and assertions that have merit, the Company is not able to reasonably estimate the range of ultimate possible loss for all opioid-related litigation matters at this time.

Termination of the Merger with Albertsons Companies, Inc.

As previously disclosed, on October 13, 2022, the Company entered into a merger agreement (the “Merger Agreement”) with Albertsons Companies, Inc. (“Albertsons”) pursuant to which the Company would have acquired Albertsons. On February 26, 2024, the Federal Trade Commission instituted an administrative proceeding to prohibit the merger and filed suit in the United States District Court for the District of Oregon requesting a preliminary injunction to block the merger. On December 10, 2024, the court issued a preliminary injunction enjoining the consummation of the merger.

On December 10, 2024, Albertsons sued the Company in the Delaware Court of Chancery for alleged breaches of the Merger Agreement and the implied covenant of good faith and fair dealing. Albertsons seeks payment of a \$600 termination fee that Albertsons alleges it is owed under the Merger Agreement, as well as additional damages, including expenses paid by Albertsons in connection with the Merger and the lost premium Albertsons alleges is owed to its shareholders, as well as other relief.

On December 11, 2024, the Company delivered a notice to Albertsons terminating the Merger Agreement, which notified Albertsons that a prior termination letter sent by Albertsons to Kroger on December 10, 2024 was not an effective termination. In connection with the notice, Kroger notified Albertsons that Kroger has no obligation to pay the \$600 termination fee because Albertsons failed to perform and comply in all material respects with its covenants under the Merger Agreement.

On March 17, 2025, the Company filed an answer denying the allegations in Albertsons’s complaint and filed counterclaims that seek recovery for breaches of the Merger Agreement by Albertsons. Trial is scheduled to begin in the case on October 19, 2026.

Assignments — The Company is contingently liable for leases that have been assigned to various third parties in connection with facility closings and dispositions. The Company could be required to satisfy the obligations under the leases if any of the assignees are unable to fulfill their lease obligations. Due to the wide distribution of the Company’s assignments among third parties, and various other remedies available, the Company believes the likelihood that it will be required to assume a material amount of these obligations is remote.

6. ACCUMULATED OTHER COMPREHENSIVE INCOME (LOSS)

The following table represents the changes in AOCI by component for the first two quarters of 2026 and 2025:

	Cash Flow Hedging Activities ⁽¹⁾	Pension and Postretirement Defined Benefit Plans ⁽¹⁾	Total ⁽¹⁾
Balance at February 1, 2025	\$ (35)	\$ (586)	\$ (621)
Amounts reclassified out of AOCI ⁽²⁾	5	1	6
Net current-period OCI	5	1	6
Balance at August 16, 2025	<u>\$ (30)</u>	<u>\$ (585)</u>	<u>\$ (615)</u>
Balance at January 31, 2026	\$ (24)	\$ (611)	\$ (635)
OCI before reclassifications ⁽³⁾	7	—	7
Amounts reclassified out of AOCI ⁽²⁾	3	7	10
Net current-period OCI	10	7	17
Balance at August 15, 2026	<u>\$ (14)</u>	<u>\$ (604)</u>	<u>\$ (618)</u>

(1) All amounts are net of tax.

(2) Net of tax of \$1 for cash flow hedging activities for the first two quarters of 2025. Net of tax of \$3 for cash flow hedging activities and \$2 for pension and postretirement defined benefit plans for the first two quarters of 2026.

(3) Net of tax of \$2 for cash flow hedging activities for the first two quarters of 2026.

The following table represents the items reclassified out of AOCI and the related tax effects for the second quarters and first two quarters of 2026 and 2025:

	Second Quarter Ended		Two Quarters Ended	
	August 15, 2026	August 16, 2025	August 15, 2026	August 16, 2025
Cash flow hedging activity items:				
Amortization of gains and losses on cash flow hedging activities ⁽¹⁾	\$ 3	\$ 3	\$ 6	\$ 6
Tax expense	(2)	—	(3)	(1)
Net of tax	<u>1</u>	<u>3</u>	<u>3</u>	<u>5</u>
Pension and postretirement defined benefit plan items:				
Amortization of amounts included in net periodic pension cost ⁽²⁾	5	2	9	1
Tax expense	(1)	—	(2)	—
Net of tax	<u>4</u>	<u>2</u>	<u>7</u>	<u>1</u>
Total reclassifications, net of tax	<u>\$ 5</u>	<u>\$ 5</u>	<u>\$ 10</u>	<u>\$ 6</u>

(1) Reclassified from AOCI into interest expense.

(2) Reclassified from AOCI into non-service component of company-sponsored pension plan costs. These components are included in the computation of net periodic pension cost (see Note 3 for additional details).

7. SEGMENT REPORTING

The Company operates supermarkets, multi-department stores and fulfillment centers throughout the United States. The Company's retail operations, which represent substantially all of the Company's consolidated sales, are its only reportable segment. The retail operations' segment revenues are predominately earned as consumer products are sold to customers in our stores, fuel centers and via the Company's eCommerce business. The Company aggregates its operating divisions into one reportable segment due to the operating divisions having similar economic characteristics with similar long-term financial performance. In addition, the Company's operating divisions offer customers similar products, have similar distribution methods, operate in similar regulatory environments, purchase the majority of the merchandise for retail sale from similar (and in many cases identical) vendors on a coordinated basis from a centralized location, serve similar types of customers, and are allocated capital from a centralized location. Operating divisions are organized primarily on a geographical basis so the operating division management team can be responsive to local needs of the operating division and can execute company strategic plans and initiatives throughout the locations in their operating division. This geographical separation is the primary differentiation between these retail operating divisions. The geographical basis of organization reflects how the business is managed and how the Company's principal executive officer, who acts as the Company's chief operating decision maker ("CODM"), assesses performance internally. All of the Company's operations are domestic.

The Company's CODM assesses performance and allocates resources for the retail operations segment using segment FIFO earnings before net interest expense, income tax expense and depreciation and amortization ("EBITDA"). The Company defines FIFO EBITDA as EBITDA excluding the LIFO charge. The Company's CODM also uses segment FIFO EBITDA to measure the operational effectiveness of the Company's financial model, compare the performance of core operating results between periods, against budget and against competitors and evaluate whether to invest capital in the retail operations segment or in other parts of the Company, such as for share repurchases or dividend payments. The Company's CODM is not provided asset information by reportable segment as asset information is provided to the CODM on a consolidated basis.

The following table presents the Company's retail operations segment revenue, measure of segment profit or loss, significant segment expenses and reconciliation of retail operations segment FIFO EBITDA to consolidated net earnings before income tax expense and retail operations segment sales to consolidated sales for the second quarter and first two quarters of 2026 and 2025:

	Second Quarter Ended		Two Quarters Ended	
	August 15, 2026	August 16, 2025 ⁽¹⁾	August 15, 2026	August 16, 2025 ⁽¹⁾
Retail operations segment sales	\$ 34,621	\$ 33,940	\$ 80,742	\$ 79,058
Retail operations segment expenses:				
Merchandise costs, including advertising, warehousing, and transportation, excluding the LIFO charge	26,724	26,068	62,165	60,579
Operating, general, and administrative	5,952	5,967	13,915	13,890
Rent	198	202	467	473
Retail operations segment FIFO EBITDA	<u>\$ 1,747</u>	<u>\$ 1,703</u>	<u>\$ 4,195</u>	<u>\$ 4,116</u>
Reconciliation of net earnings before income tax expense:				
Retail operations segment FIFO EBITDA	\$ 1,747	\$ 1,703	\$ 4,195	\$ 4,116
Depreciation and amortization	(737)	(778)	(1,726)	(1,829)
LIFO charge	(39)	(62)	(91)	(102)
Net interest expense	(156)	(144)	(365)	(343)
Non-service component of company-sponsored pension plan expense	(9)	(3)	(16)	(4)
Gain on investments	34	56	20	37
Consolidated net earnings before income tax expense	<u>\$ 840</u>	<u>\$ 772</u>	<u>\$ 2,017</u>	<u>\$ 1,875</u>

- (1) The presentation of segment revenues and significant segment expenses for the second quarter and first two quarters ended August 16, 2025 has been recast to conform to the current year presentation and reflects operating segment information reviewed by the Company's current CODM.

8. INCOME TAXES

The effective income tax rate was 23.6% for the second quarter of 2026 and 21.0% for the second quarter of 2025. The effective income tax rate was 23.4% for the first two quarters of 2026 and 21.2% for the first two quarters of 2025. The effective income tax rate for the second quarter of 2026 differed from the federal statutory rate due to the effect of state income taxes, partially offset by the utilization of tax credits and deductions. The effective income tax rate for the first two quarters of 2026 differed from the federal statutory rate due to the effect of state income taxes, partially offset by the utilization of tax credits and deductions including the benefit from share-based payments. The effective income tax rate for the second quarter of 2025 equaled the federal statutory rate due to the effect of state income taxes being fully offset by the utilization of tax credits and deductions including the benefit from share-based payments. The effective income tax rate for the first two quarters of 2025 differed from the federal statutory rate due to the effect of state income taxes, partially offset by the utilization of tax credits and deductions including the benefit from share-based payments.

9. RECENTLY ISSUED ACCOUNTING STANDARDS

In September 2025, the FASB issued ASU 2025-06, “Intangibles – Goodwill and Other – Internal-use Software (Subtopic 350-40): Targeted Improvements to the Accounting for Internal-use Software.” The ASU was issued to modernize the accounting for internal-use software by eliminating the accounting consideration of software project development stages, clarifying the criteria to begin capitalizing costs. The ASU is effective for annual periods beginning after December 15, 2027, and interim reporting periods within those annual reporting periods, with early adoption permitted. The Company is currently assessing the effect that adoption of this guidance will have on its Consolidated Financial Statements.

In November 2024, the FASB issued ASU 2024-03, “Income Statement - Reporting Comprehensive Income - Expense Disaggregation Disclosures (Subtopic 220-40): Disaggregation of Income Statement Expenses.” The guidance requires disclosures about specific expense categories, including but not limited to, purchases of inventory, employee compensation, depreciation, amortization and selling expenses. The ASU is effective in the first annual reporting period beginning after December 15, 2026, and for interim periods within fiscal years beginning after December 15, 2027. The Company is currently assessing the effect that adoption of this guidance will have on its Consolidated Financial Statements.

10. PROPOSED ACQUISITION OF GIANT EAGLE, INC.

On July 1, 2026, the Company announced it had entered into an agreement and plan of merger pursuant to which it will acquire Giant Eagle, Inc. (“Giant Eagle”). The transaction is valued at approximately \$1,650, subject to customary purchase price adjustments, and consists of \$1,250 in cash to be paid and approximately \$400 in assumed indebtedness. In connection with obtaining the requisite regulatory clearance necessary to consummate the transaction, the Company and Giant Eagle expect to make limited Giant Eagle store divestitures. The transaction is expected to close in fiscal year 2027, subject to the expiration or termination of any applicable waiting period, and any extensions thereof, under the Hart-Scott-Rodino Antitrust Improvements Act of 1976 and the satisfaction or waiver of other customary closing conditions.

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations.

The following analysis should be read in conjunction with the Consolidated Financial Statements.

CAUTIONARY STATEMENT

This 10-Q, including the financial statement notes and the following discussion and analysis, contains certain forward-looking statements within the meaning of Section 21E of the Securities Exchange Act of 1934, as amended (the "Exchange Act"), about our future performance. These statements are based on management's assumptions and beliefs in light of the information currently available to it. Such statements are indicated by words such as "achieve," "affect," "anticipate," "believe," "committed," "continue," "could," "drive," "estimate," "expect," "future," "goals," "intend," "maintain," "may," "model," "plan," "strategy," "trend," and "will," and similar words or phrases. These forward-looking statements are subject to uncertainties and other factors that could cause actual results to differ materially. These include the specific risk factors identified in "Risk Factors" in our Annual Report on Form 10-K for our last fiscal year and any subsequent filings, as well as those identified in this Form 10-Q.

Various uncertainties and other factors could cause actual results to differ materially from those contained in the forward-looking statements. These include:

- The extent to which our sources of liquidity are sufficient to meet our requirements may be affected by the state of the financial markets and the effect that such condition has on our ability to issue commercial paper at acceptable rates. Our ability to borrow under our committed lines of credit, including our bank credit facilities, could be impaired if one or more of our lenders under those lines is unwilling or unable to honor its contractual obligation to lend to us, or in the event that global pandemics, natural disasters or weather conditions interfere with the ability of our lenders to lend to us. Our ability to refinance maturing debt may be affected by the state of the financial markets.
- Our ability to achieve sales, earnings and incremental First-In, First-Out ("FIFO") operating profit goals may be affected by: labor negotiations; potential work stoppages; changes in the unemployment rate; pressures in the labor market; changes in government-funded benefit programs; changes in the types and numbers of businesses that compete with us; pricing and promotional activities of existing and new competitors and the aggressiveness of that competition; our response to these actions; the state of the economy, including interest rates, the inflationary, disinflationary and/or deflationary trends and such trends in certain commodities, products and/or operating costs; the geopolitical environment including wars and conflicts; unstable political situations and social unrest; changes in tariffs; the effect that fuel costs have on consumer spending; volatility of fuel margins; manufacturing commodity costs; supply constraints; diesel fuel costs related to our logistics operations; trends in consumer spending; the extent to which our customers exercise caution in their purchasing in response to economic conditions; the uncertainty of economic growth or recession; stock repurchases; changes in the regulatory environment in which we operate, along with changes in federal policy and at state and federal regulatory agencies; our ability to retain pharmacy sales from third-party payors; consolidation in the healthcare industry, including pharmacy benefit managers; our ability to negotiate modifications to multi-employer pension plans; our ability to attract and retain qualified individuals; natural disasters or adverse weather conditions; the effect of public health crises or other significant catastrophic events; the potential costs and risks associated with potential cyberattacks or data security breaches; the potential costs and risks associated with new technologies, including artificial intelligence; the success of our future growth plans; the ability to execute our growth strategy and value creation model, including continued cost savings, growth of our media businesses, and our ability to better serve our customers and to generate customer loyalty and sustainable growth through Fresh, *Our Brands*, Personalization and eCommerce; the outcome of litigation matters, including those relating to the terminated transaction with Albertsons Companies, Inc.; and the risks relating to or arising from our opioid litigation settlements, including the risk of litigation relating to persons, entities, or jurisdictions that do not participate in those settlements.
- Our ability to achieve these goals may also be affected by our ability to manage the factors identified above. Our ability to execute our financial strategy may be affected by our ability to generate cash flow.

- Our adjusted effective tax rate may differ from the expected rate due to changes in tax laws and policies, the status of pending items with various taxing authorities and the deductibility of certain expenses.
- We cannot fully foresee the effects of changes in economic conditions on our business.

Statements elsewhere in this Form 10-Q and below regarding our expectations, projections, beliefs, intentions or strategies are forward-looking statements. While we believe that the statements are accurate, uncertainties about the general economy, our labor relations, our ability to execute our plans on a timely basis and other uncertainties described in this report and other reports that we file with the Securities and Exchange Commission (“SEC”) could cause actual results to differ materially. We assume no obligation to update the information contained in this Form 10-Q unless required by applicable law.

FINANCIAL PERFORMANCE DATA

The following table provides highlights of our financial performance:

Financial Performance Data
(\$ in millions, except per share amounts)

	Second Quarter Ended			Two Quarters Ended		
	August 15, 2026	Percentage Change	August 16, 2025	August 15, 2026	Percentage Change	August 16, 2025
Sales	\$ 34,621	2.0 %	\$ 33,940	\$ 80,742	2.1 %	\$ 79,058
Sales without fuel	\$ 30,517	(0.5)%	\$ 30,671	\$ 71,375	(0.1)%	\$ 71,449
Identical sales excluding fuel and Adjusted Items ⁽¹⁾	0.2 %	N/A	3.4 %	0.6 %	N/A	3.3 %
FIFO gross margin, excluding rent, depreciation and amortization, fuel and Adjusted Items, bps increase	13	N/A	39	1	N/A	62
OG&A rate, excluding fuel and Adjusted Items, bps increase (decrease)	33	N/A	(5)	23	N/A	34
Operating profit	\$ 971	12.5 %	\$ 863	\$ 2,378	8.8 %	\$ 2,185
Adjusted FIFO operating profit	\$ 1,076	(1.4)%	\$ 1,091	\$ 2,620	0.4 %	\$ 2,610
Net earnings attributable to The Kroger Co.	\$ 641	5.3 %	\$ 609	\$ 1,543	4.6 %	\$ 1,475
Adjusted net earnings attributable to The Kroger Co.	\$ 667	(4.0)%	\$ 695	\$ 1,647	(2.5)%	\$ 1,690
Net earnings attributable to The Kroger Co. per diluted common share	\$ 1.05	15.4 %	\$ 0.91	\$ 2.51	14.1 %	\$ 2.20
Adjusted net earnings attributable to The Kroger Co. per diluted common share	\$ 1.09	4.8 %	\$ 1.04	\$ 2.67	5.5 %	\$ 2.53
Dividends paid	\$ 216	2.4 %	\$ 211	\$ 431	2.1 %	\$ 422
Dividends paid per common share	\$ 0.35	9.4 %	\$ 0.32	\$ 0.70	9.4 %	\$ 0.64
Share repurchases	\$ 1,069	N/A	\$ 22	\$ 1,283	N/A	\$ 203
(Decrease) increase in total debt, including obligations under finance leases compared to prior fiscal year end	\$ (569)	N/A	\$ 54	\$ (569)	N/A	\$ 54

- (1) Identical sales, excluding fuel, were adjusted to exclude stores involved in labor disputes in Colorado in the first quarter of 2025. Identical sales, excluding fuel, were excluded for the first four weeks of the first quarters of 2026, 2025 and 2024 for stores involved in such labor disputes.

SIGNIFICANT EVENTS

- eCommerce sales increased 14% in the second quarter and first two quarters of 2026, compared to the same periods of 2025, led by increased demand for Delivery solutions. Excluding the effect of fulfillment center exits in markets where Kroger does not operate stores, the sale of Vitacost.com and the discontinuation of Ship Marketplace, eCommerce sales increased 20% in the second quarter and 19% in the first two quarters of 2026, compared to the same periods of 2025, led by increased demand for Delivery solutions. eCommerce sales include products ordered online and picked up at our stores and Delivery solutions. Delivery solutions include orders delivered to customers from retail store locations, customer fulfillment centers and orders placed through third-party platforms. Our eCommerce business, including third-party media revenue, was profitable in the second quarter and first two quarters of 2026.

- Identical sales, excluding fuel, increased 0.2% in the second quarter of 2026, compared to the second quarter of 2025. Sales growth was led by eCommerce, natural foods, meat and seafood, bakery and pharmacy sales, partially offset by the effects from the Inflation Reduction Act of 138 basis points, a customer shift from brand to generic prescriptions of 61 basis points, the effects of the Cyclospora outbreak of approximately 35 basis points and egg deflation of 30 basis points. Identical sales, excluding fuel and the Labor Dispute, increased 0.6% in the first two quarters of 2026, compared to the same periods of 2025. Sales growth was led by eCommerce, natural foods, meat and seafood, bakery and pharmacy, partially offset by the effects from the Inflation Reduction Act of 133 basis points, a customer shift from brand to generic prescriptions of 50 basis points, egg deflation of 49 basis points and the effects of the Cyclospora outbreak of 15 basis points.
- On July 1, 2026, we announced that we had entered into an agreement and plan of merger pursuant to which we will acquire Giant Eagle, Inc. (“Giant Eagle”). The transaction is valued at approximately \$1.65 billion, subject to customary purchase price adjustments, and consists of \$1.25 billion in cash to be paid and approximately \$400 million in assumed indebtedness. In connection with obtaining the requisite regulatory clearance necessary to consummate the transaction, Kroger and Giant Eagle expect to make limited Giant Eagle store divestitures. The transaction is expected to close in fiscal year 2027, subject to the expiration or termination of any applicable waiting period, and any extensions thereof, under the Hart-Scott-Rodino Antitrust Improvements Act of 1976 and the satisfaction or waiver of other customary closing conditions.

USE OF NON-GAAP FINANCIAL MEASURES

The accompanying Consolidated Financial Statements, including the related notes, are presented in accordance with U.S. generally accepted accounting principles (“GAAP”). We provide non-GAAP measures, including FIFO gross margin, FIFO operating profit, adjusted FIFO operating profit, adjusted net earnings and adjusted net earnings per diluted share, because management believes these metrics are useful to investors and analysts. These non-GAAP financial measures should not be considered as an alternative to gross margin, operating profit, net earnings and net earnings per diluted share or any other GAAP measure of performance. These measures should not be reviewed in isolation or considered as a substitute for our financial results as reported in accordance with GAAP.

We calculate FIFO gross margin as FIFO gross profit divided by sales. FIFO gross profit is calculated as sales less merchandise costs, including advertising, warehousing and transportation expenses, but excluding the Last-In, First-Out (“LIFO”) charge, rent and depreciation and amortization. FIFO gross margin is an important measure used by management, and management believes FIFO gross margin is a useful metric to investors and analysts because it measures the merchandising and operational effectiveness of our go-to-market strategy.

We calculate FIFO operating profit as operating profit excluding the LIFO charge. FIFO operating profit is an important measure used by management, and management believes FIFO operating profit is a useful metric to investors and analysts because it measures the operational effectiveness of our financial model.

The adjusted net earnings, adjusted net earnings per diluted share and adjusted FIFO operating profit metrics are important measures used by management to compare the performance of core operating results between periods. We believe adjusted net earnings, adjusted net earnings per diluted share and adjusted FIFO operating profit are useful metrics to investors and analysts because they present more accurate year-over-year comparisons of our net earnings, net earnings per diluted share and FIFO operating profit because adjusted items are not the result of our normal operations. Net earnings for the first two quarters of 2026 include the following, which we define as the “2026 Adjusted Items”:

- Charges to operating, general and administrative (“OG&A”) of \$119 million, \$91 million net of tax, for transformation costs and \$38 million, \$29 million net of tax, for merger-related litigation charges (the “2026 OG&A Adjusted Items”).
- A gain in other income (expense) of \$20 million, \$16 million net of tax, for the unrealized gain on investments (the “2026 Other Income (Expense) Adjusted Item”).

Net earnings for the second quarter of 2026 include the following, which we define as the “2026 Second Quarter Adjusted Items”:

- Charges to OG&A of \$56 million, \$43 million net of tax, for transformation costs and \$13 million, \$9 million net of tax, for merger-related litigation charges (the “2026 Second Quarter OG&A Adjusted Items”).
- A gain in other income (expense) of \$34 million, \$26 million net of tax, for the unrealized gain on investments (the “2026 Second Quarter Other Income (Expense) Adjusted Item”).

Net earnings for the first two quarters of 2025 include the following, which we define as the “2025 Adjusted Items”:

- Charges to OG&A of \$100 million, \$77 million net of tax, for store closures; \$136 million, \$102 million net of tax, for merger-related litigation and settlement charges; \$22 million, \$17 million net of tax, for opioid settlement charges and vendor reserves; \$47 million, \$37 million net of tax, for severance charge and related benefits and a credit to OG&A of \$21 million, \$16 million net of tax, for executive stock compensation for a former executive (the “2025 OG&A Adjusted Items”).
- A gain in other income (expense) of \$37 million, \$28 million net of tax, for the unrealized gain on investments (the “2025 Other Income (Expense) Adjusted Item”).
- A reduction to income tax expense of \$7 million for executive stock compensation for a former executive income tax adjustment (the “2025 Income Tax Expense Adjusted Item”).
- A net charge to Sales, Merchandise costs and OG&A of \$44 million, \$33 million net of tax, for certain stores involved in labor disputes in Colorado in the first quarter of 2025 (the “Labor Dispute”).

Net earnings for the second quarter of 2025 include the following, which we define as the “2025 Second Quarter Adjusted Items”:

- Charges to OG&A of \$121 million, \$92 million net of tax, for merger-related litigation and settlement charges and \$47 million, \$37 million net of tax, for severance charge and related benefits (the “2025 Second Quarter OG&A Adjusted Items”).
- A gain in other income (expense) of \$56 million, \$43 million net of tax, for the unrealized gain on investments (the “2025 Second Quarter Other Income (Expense) Adjusted Item”).

Please refer to the “Net Earnings per Diluted Share excluding the Adjusted Items” table below for reconciliations of certain non-GAAP financial measures reported in this Form 10-Q to the most directly comparable GAAP financial measures and related disclosure.

The following table provides a reconciliation of net earnings attributable to The Kroger Co. to adjusted net earnings attributable to The Kroger Co. and a reconciliation of net earnings attributable to The Kroger Co. per diluted common share to adjusted net earnings attributable to The Kroger Co. per diluted common share, excluding the 2026 and 2025 Adjusted Items:

Net Earnings per Diluted Share excluding the Adjusted Items
(\$ in millions, except per share amounts)

	Second Quarter Ended			Two Quarters Ended		
	August 15, 2026	August 16, 2025	Percentage Change	August 15, 2026	August 16, 2025	Percentage Change
Net earnings attributable to The Kroger Co.	\$ 641	\$ 609		\$ 1,543	\$ 1,475	
(Income) expense adjustments						
Adjustment for gain on investments ⁽¹⁾⁽²⁾	(26)	(43)		(16)	(28)	
Adjustment for labor dispute charges ⁽¹⁾⁽³⁾	—	—		—	33	
Adjustment for store closures ⁽¹⁾⁽⁴⁾	—	—		—	77	
Adjustment for executive stock compensation for a former executive ⁽¹⁾⁽⁵⁾	—	—		—	(16)	
Adjustment for merger-related litigation and settlement charges ⁽¹⁾⁽⁶⁾	9	92		29	102	
Adjustment for opioid settlement charges and vendor reserves ⁽¹⁾⁽⁷⁾	—	—		—	17	
Adjustment for severance charge and related benefits ⁽¹⁾⁽⁸⁾	—	37		—	37	
Adjustment for transformation costs ⁽¹⁾⁽⁹⁾	43	—		91	—	
Executive stock compensation for a former executive income tax adjustment	—	—		—	(7)	
2026 and 2025 Adjusted Items	26	86		104	215	
Adjusted net earnings attributable to The Kroger Co.	\$ 667	\$ 695	(4.0)%	\$ 1,647	\$ 1,690	(2.5)%
Net earnings attributable to The Kroger Co. per diluted common share	\$ 1.05	\$ 0.91		\$ 2.51	\$ 2.20	
(Income) expense adjustments						
Adjustment for gain on investments ⁽¹⁰⁾	(0.04)	(0.06)		(0.03)	(0.04)	
Adjustment for labor dispute charges ⁽¹⁰⁾	—	—		—	0.05	
Adjustment for store closures ⁽¹⁰⁾	—	—		—	0.12	
Adjustment for executive stock compensation for a former executive ⁽¹⁰⁾	—	—		—	(0.03)	
Adjustment for merger-related litigation and settlement charges ⁽¹⁰⁾	0.01	0.14		0.04	0.16	
Adjustment for opioid settlement charges and vendor reserves ⁽¹⁰⁾	—	—		—	0.03	
Adjustment for severance charge and related benefits ⁽¹⁰⁾	—	0.05		—	0.05	
Adjustment for transformation costs ⁽¹⁰⁾	0.07	—		0.15	—	
Executive stock compensation for a former executive income tax adjustment ⁽¹⁰⁾	—	—		—	(0.01)	
2026 and 2025 Adjusted Items	0.04	0.13		0.16	0.33	
Adjusted net earnings attributable to The Kroger Co. per diluted common share	\$ 1.09	\$ 1.04	4.8 %	\$ 2.67	\$ 2.53	5.5 %
Average number of common shares used in diluted calculation	608	665		612	664	

Net Earnings per Diluted Share excluding the Adjusted Items (continued)

(\$ in millions, except per share amounts)

- (1) The amounts presented represent the after-tax effect of each adjustment, which was calculated using discrete tax rates.
- (2) The pre-tax adjustments for gain on investments were \$(34) and \$(56) in the second quarters of 2026 and 2025, respectively. The year-to-date pre-tax adjustments for gain on investments were \$(20) and \$(37) in the first two quarters of 2026 and 2025, respectively.
- (3) The pre-tax adjustment for labor dispute charges was \$44.
- (4) The pre-tax adjustment for store closures was \$100.
- (5) The pre-tax adjustment for executive stock compensation for a former executive was \$(21).
- (6) The pre-tax adjustments for merger-related litigation and settlement charges were \$13 and \$121 in the second quarters of 2026 and 2025, respectively. The year-to-date pre-tax adjustments for merger-related litigation and settlement charges were \$38 and \$136 for the first two quarters of 2026 and 2025, respectively.
- (7) The pre-tax adjustment for opioid settlement charges and vendor reserves was \$22.
- (8) The pre-tax adjustment for severance charge and related benefits was \$47.
- (9) The pre-tax adjustment for transformation costs was \$56 in the second quarter of 2026. The year-to-date pre-tax adjustment for transformation costs was \$119 for the first two quarters of 2026. Transformation costs primarily include costs related to third-party professional consulting fees associated with business transformation and cost savings initiatives.
- (10) The amount presented represents the net earnings per diluted common share effect of each adjustment.

RESULTS OF OPERATIONS

Sales

Total Sales (\$ in millions)

	Second Quarter Ended				Two Quarters Ended			
	August 15, 2026	Percentage Change ⁽¹⁾	August 16, 2025	Percentage Change ⁽²⁾	August 15, 2026	Percentage Change ⁽³⁾	August 16, 2025	Percentage Change ⁽⁴⁾
Total sales to retail customers without fuel ⁽⁵⁾	\$ 30,189	(0.5)%	\$ 30,352	1.2 %	\$ 70,652	(0.1)%	\$ 70,753	1.1 %
Supermarket fuel sales	4,105	25.6 %	3,269	(10.1)%	9,367	23.1 %	7,609	(11.5)%
Other sales ⁽⁶⁾	327	2.5 %	319	17.7 %	723	3.9 %	696	13.4 %
Total sales	\$ 34,621	2.0 %	\$ 33,940	0.1 %	\$ 80,742	2.1 %	\$ 79,058	(0.2)%

- (1) This column represents the percentage change in the second quarter of 2026, compared to the second quarter of 2025.
- (2) This column represents the percentage change in the second quarter of 2025, compared to the second quarter of 2024.
- (3) This column represents the percentage change in the first two quarters of 2026, compared to the first two quarters of 2025.
- (4) This column represents the percentage change in the first two quarters of 2025, compared to the first two quarters of 2024.
- (5) eCommerce sales are included in the “Total sales to retail customers without fuel” line above. eCommerce sales increased 14% in the second quarter and first two quarters of 2026, compared to the same periods of 2025 led by increased demand for Delivery solutions. Excluding the effect of fulfillment center exits in markets where Kroger does not operate stores, the sale of Vitacost.com and the discontinuation of Ship Marketplace, eCommerce sales increased 20% in the second quarter and 19% in the first two quarters of 2026, compared to the same periods of 2025, led by increased demand for Delivery solutions. eCommerce sales include products ordered online and picked up at our stores and Delivery solutions. Delivery solutions include orders delivered to customers from retail store locations, customer fulfillment centers and orders placed through third-party platforms.
- (6) Other sales primarily relate to external sales at food production plants, other pharmacy services, third-party media revenue and data analytic services. The increase in the second quarter and first two quarters of 2026, compared to the same periods of 2025, is primarily due to an increase in third-party media revenue.

Total sales increased in the second quarter of 2026, compared to the second quarter of 2025, by 2.0%. The increase was primarily due to an increase in supermarket fuel sales and identical sales, excluding fuel, partially offset by the sale of Vitacost.com, closed stores and fulfillment center exits in markets where Kroger does not operate stores. Total supermarket fuel sales increased 25.6% in the second quarter of 2026, compared to the second quarter of 2025, primarily due to an increase in the average retail fuel price of 25.3%. Total sales, excluding fuel, Vitacost.com and fulfillment center exits in markets where Kroger does not operate stores, increased 0.1% in the second quarter of 2026, compared to the second quarter of 2025, which was primarily due to our identical sales increase, excluding fuel, of 0.2%, partially offset by closed stores. Identical sales, excluding fuel, for the second quarter of 2026, compared to the second quarter of 2025, increased primarily due to increased eCommerce, natural foods, meat and seafood, bakery and pharmacy sales and increased spend per item, partially offset by a reduction in the number of units sold, and the effects from the Inflation Reduction Act of 138 basis points, a customer shift from brand to generic prescriptions of 61 basis points, the effects of the Cyclospora outbreak of approximately 35 basis points and egg deflation of 30 basis points.

Total sales increased in the first two quarters of 2026, compared to first two quarters of 2025, by 2.1%. The increase was primarily due to an increase in supermarket fuel sales and identical sales, excluding fuel and the Labor Dispute, partially offset by the sale of Vitacost.com, closed stores and fulfillment center exits in markets where Kroger does not operate stores. Total supermarket fuel sales increased 23.1% in the first two quarters of 2026, compared to the first two quarters of 2025, primarily due to an increase in the average retail fuel price of 23.9%. Total sales, excluding fuel, Vitacost.com and fulfillment center exits in markets where Kroger does not operate stores, increased 0.5% in the first two quarters of 2026, compared to the first two quarters of 2025, which was primarily due to our identical sales increase, excluding fuel and the Labor Dispute, of 0.6%, partially offset by closed stores. Identical sales, excluding fuel and the Labor Dispute, for the first two quarters of 2026, compared to the first two quarters of 2025, increased primarily due to increased eCommerce, natural foods, meat and seafood, bakery and pharmacy sales and increased spend per item, partially offset by a reduction in the number of units sold, and the effects from the Inflation Reduction Act of 133 basis points, a customer shift from brand to generic prescriptions of 50 basis points, egg deflation of 49 basis points and the effects of the Cyclospora outbreak of 15 basis points.

We calculate identical sales, excluding fuel, as sales to retail customers, including sales from all departments at identical supermarket locations and Delivery solutions. We define a supermarket as identical when it has been in operation without expansion or relocation for five full quarters. We include Kroger Delivery sales from customer fulfillment centers in the identical sales calculation if the delivery occurs in an existing Kroger supermarket geography or when the location has been in operation for five full quarters; closed facilities in which the delivery occurs in an existing Kroger supermarket geography remain in the identical sales calculation, while closed facilities in which delivery does not occur in an existing Kroger supermarket geography are excluded from the identical sales calculation starting in the quarter the closure is announced. Although identical sales is a relatively standard term, numerous methods exist for calculating identical sales growth. As a result, the method used by our management to calculate identical sales may differ from methods other companies use to calculate identical sales. It is important to understand the methods used by other companies to calculate identical sales before comparing our identical sales to those of other such companies. Our identical sales results, excluding fuel, are summarized in the following tables. We used the identical sales, excluding fuel, dollar figures presented below to calculate percentage changes for the second quarter and first two quarters of 2026.

Identical Sales
(\$ in millions)

	Second Quarter Ended			
	August 15, 2026	Percentage Change ⁽¹⁾	August 16, 2025	Percentage Change ⁽²⁾
Excluding Fuel	\$ 29,957	0.2 %	\$ 29,892	3.4 %

- (1) This column represents the percentage change in identical sales in the second quarter of 2026, compared to the second quarter of 2025.
- (2) This column represents the percentage change in identical sales in the second quarter of 2025, compared to the second quarter of 2024.

	Excluding Adjusted Items ⁽¹⁾ Two Quarters Ended			
	August 15, 2026	Percentage Change ⁽²⁾	August 16, 2025	Percentage Change ⁽³⁾
Excluding Fuel	\$ 69,759	0.6 %	\$ 69,309	3.3 %

- (1) Identical sales, excluding fuel, were adjusted to exclude stores involved in labor disputes in Colorado in the first quarter of 2025. Identical sales, excluding fuel, were excluded for the first four weeks of the first quarters of 2026, 2025 and 2024 for stores involved in such labor disputes.
- (2) This column represents the percentage change in identical sales in the first two quarters of 2026, compared to the first two quarters of 2025.
- (3) This column represents the percentage change in identical sales in the first two quarters of 2025, compared to the first two quarters of 2024.

	Two Quarters Ended			
	August 15, 2026	Percentage Change ⁽¹⁾	August 16, 2025	Percentage Change ⁽²⁾
Excluding Fuel	\$ 70,093	0.8 %	\$ 69,567	3.2 %

- (1) This column represents the percentage change in identical sales in the first two quarters of 2026, compared to the first two quarters of 2025.
- (2) This column represents the percentage change in identical sales in the first two quarters of 2025, compared to the first two quarters of 2024.

Gross Margin, LIFO and FIFO Gross Margin

Our gross margin rates, as a percentage of sales, were 22.4% in the second quarter of 2026 and 22.5% in the second quarter of 2025. This decrease resulted primarily from increased fuel sales, which have a lower gross margin rate, higher transportation costs, as a percentage of sales, higher shrink and greater value delivered for customers, partially offset by improved eCommerce profitability, increased third-party media revenue, higher pharmacy margins, sourcing improvements, tariff refunds, which were fully invested in value, a decreased LIFO charge and lower depreciation and amortization, as a percentage of sales.

Our gross margin rates, as a percentage of sales, were 22.6% in the first two quarters of 2026 and 22.8% in the first two quarters of 2025. This decrease resulted primarily from increased fuel sales, which have a lower gross margin rate, higher transportation costs, as a percentage of sales, higher shrink and greater value delivered for customers, partially offset by higher pharmacy margins, improved eCommerce profitability, increased third-party media revenue, sourcing improvements, egg deflation, tariff refunds, which were fully invested in value, and lower depreciation and amortization, as a percentage of sales.

The following table provides the calculation of gross profit and gross margin in accordance with GAAP (\$ in millions):

	Second Quarter Ended		Two Quarters Ended	
	August 15, 2026	August 16, 2025	August 15, 2026	August 16, 2025
Sales	\$ 34,621	\$ 33,940	\$ 80,742	\$ 79,058
Merchandise costs, including advertising, warehousing and transportation and LIFO charge, excluding rent and depreciation and amortization	26,763	26,130	62,256	60,681
Rent	12	13	29	31
Depreciation and amortization	96	151	235	344
Gross profit	<u>\$ 7,750</u>	<u>\$ 7,646</u>	<u>\$ 18,222</u>	<u>\$ 18,002</u>
Gross margin	<u>22.4 %</u>	<u>22.5 %</u>	<u>22.6 %</u>	<u>22.8 %</u>

We define FIFO gross margin as FIFO gross profit divided by sales. FIFO gross profit is calculated as sales less merchandise costs, including advertising, warehousing and transportation expenses, but excluding the LIFO charge, rent and depreciation and amortization.

Our LIFO charge was \$39 million in the second quarter of 2026, compared to \$62 million in the second quarter of 2025. Our LIFO charge was \$91 million in the first two quarters of 2026, compared to \$102 million in the first two quarters of 2025. The decrease in the LIFO charge was due to lower expected annualized product cost inflation for 2026, compared to 2025.

Our fuel sales lower our FIFO gross margin rate due to the very low FIFO gross margin rate, as a percentage of sales, of fuel sales compared to non-fuel sales. Excluding the effect of fuel, our FIFO gross margin rate increased 13 basis points in the second quarter of 2026, compared to the second quarter of 2025. This increase resulted primarily from improvement in eCommerce profitability, increased third-party media revenue, higher pharmacy margins, sourcing improvements and tariff refunds, which were fully invested in value, partially offset by higher transportation costs, as a percentage of sales, higher shrink and greater value delivered for customers.

Excluding the effect of fuel and the Labor Dispute, our FIFO gross margin rate increased 1 basis point in the first two quarters of 2026, compared to the first two quarters of 2025. This increase resulted primarily from higher pharmacy margins, improved eCommerce profitability, increased third-party media revenue, sourcing improvements, egg deflation and tariff refunds, which were fully invested in value, partially offset by higher transportation costs, as a percentage of sales, higher shrink and greater value delivered for customers.

Operating, General and Administrative Expenses

OG&A expenses consist primarily of employee-related costs such as wages, healthcare benefit costs, retirement plan costs, utilities and credit card fees. Rent expense, depreciation and amortization expense and interest expense are not included in OG&A.

OG&A expenses, as a percentage of sales, were 17.2% in the second quarter of 2026 and 17.6% in the second quarter of 2025. The decrease in the second quarter of 2026, compared to the second quarter of 2025, resulted primarily from the effect of increased fuel sales, which decreases our OG&A rate, as a percentage of sales, continued execution of broad-based cost savings initiatives that drive administrative efficiencies, including store productivity, lower incentive plan costs and the 2025 Second Quarter OG&A Adjusted Items, partially offset by planned investments in associates, increased healthcare costs, supermarket sales deleverage and the 2026 Second Quarter OG&A Adjusted Items.

OG&A expenses, as a percentage of sales, were 17.2% in the first two quarters of 2026 and 17.6% in the first two quarters of 2025. The decrease in the first two quarters of 2026, compared to the first two quarters of 2025, resulted primarily from the effect of increased fuel sales, which decreases our OG&A rate, as a percentage of sales, continued execution of broad-based cost savings initiatives that drive administrative efficiencies, including store productivity, lower incentive plan costs, decreased multi-employer pension contributions and the 2025 OG&A Adjusted Items, partially offset by planned investments in associates, supermarket sales deleverage and the 2026 OG&A Adjusted Items.

Our fuel sales lower our OG&A rate, as a percentage of sales, due to the very low OG&A rate, as a percentage of sales, of fuel sales compared to non-fuel sales. Excluding the effect of fuel, the 2026 Second Quarter OG&A Adjusted Items and the 2025 Second Quarter OG&A Adjusted Items, our OG&A rate increased 33 basis points in the second quarter of 2026, compared to the second quarter of 2025. This increase resulted primarily from planned investment in associates, increased healthcare costs and supermarket sales deleverage, partially offset by continued execution of broad-based cost savings initiatives that drive administrative efficiencies, including store productivity, and lower incentive plan costs.

Excluding the effect of fuel, the 2026 OG&A Adjusted Items, the 2025 OG&A Adjusted Items and the Labor Dispute, our OG&A rate increased 23 basis points in the first two quarters of 2026, compared to the first two quarters of 2025. This increase resulted primarily from planned investments in associates and supermarket sales deleverage, partially offset by continued execution of broad-based cost savings initiatives that drive administrative efficiencies, including store productivity, lower incentive plan costs and decreased multi-employer pension contributions.

Rent Expense

Rent expense remained relatively consistent, as a percentage of sales, for the second quarter and first two quarters of 2026, compared to the same periods of 2025.

Depreciation and Amortization Expense

Depreciation and amortization expense decreased 16 basis points, as a percentage of sales, in the second quarter of 2026 compared to the second quarter of 2025. Depreciation and amortization expense decreased 17 basis points in the first two quarters of 2026, compared to the first two quarters of 2025. This decrease in both periods was primarily due to the fulfillment network closures in the fourth quarter of 2025.

Operating Profit and FIFO Operating Profit

Operating profit was \$971 million, or 2.80% of sales, for the second quarter of 2026, compared to \$863 million, or 2.54% of sales, for the second quarter of 2025. Operating profit, as a percentage of sales, increased 26 basis points in the second quarter of 2026, compared to the second quarter of 2025, primarily due to decreased OG&A and depreciation and amortization expenses, as a percentage of sales, and a decreased LIFO charge, partially offset by a lower FIFO gross margin rate.

Operating profit was \$2.4 billion, or 2.94% of sales, for the first two quarters of 2026, compared to \$2.2 billion, or 2.76% of sales, for the first two quarters of 2025. Operating profit, as a percentage of sales, increased 18 basis points in the first two quarters of 2026, compared to the first two quarters of 2025, primarily due to decreased OG&A and depreciation and amortization expenses, as a percentage of sales, and increased fuel operating profit, partially offset by a lower FIFO gross margin rate.

FIFO operating profit was \$1.0 billion, or 2.92% of sales, for the second quarter of 2026, compared to \$925 million, or 2.73% of sales, for the second quarter of 2025. FIFO operating profit, as a percentage of sales, excluding the 2026 and 2025 Adjusted Items, decreased 11 basis points in the second quarter of 2026, compared to the second quarter of 2025, primarily due to a lower FIFO gross margin rate, partially offset by decreased OG&A and depreciation and amortization expenses, as a percentage of sales.

FIFO operating profit was \$2.5 billion, or 3.06% of sales, for the first two quarters of 2026, compared to \$2.3 billion, or 2.89% of sales, for the first two quarters of 2025. FIFO operating profit, as a percentage of sales, excluding the 2026 and 2025 Adjusted Items, decreased 5 basis points in the first two quarters of 2026, compared to the first two quarters of 2025, primarily due to a lower FIFO gross margin rate, partially offset by decreased OG&A and depreciation and amortization expenses, as a percentage of sales, and increased fuel operating profit.

Specific factors contributing to the trends driving operating profit and FIFO operating profit identified above are discussed earlier in this section.

The following table provides a reconciliation of operating profit to FIFO operating profit and to Adjusted FIFO operating profit, excluding the 2026 and 2025 Adjusted Items:

Operating Profit excluding the Adjusted Items
(\$ in millions)

	Second Quarter Ended		Two Quarters Ended	
	August 15, 2026	August 16, 2025	August 15, 2026	August 16, 2025
Operating profit	\$ 971	\$ 863	\$ 2,378	\$ 2,185
LIFO charge	39	62	91	102
FIFO Operating profit	1,010	925	2,469	2,287
Adjustment for labor dispute charges	—	—	—	44
Adjustment for store closures	—	—	—	100
Adjustment for executive stock compensation for a former executive	—	—	—	(21)
Adjustment for merger-related litigation and settlement charges	13	121	38	136
Adjustment for opioid settlement charges and vendor reserves	—	—	—	22
Adjustment for severance charge and related benefits	—	47	—	47
Adjustment for transformation costs ⁽¹⁾	56	—	119	—
Other	(3)	(2)	(6)	(5)
2026 and 2025 Adjusted items	66	166	151	323
Adjusted FIFO operating profit excluding the adjusted items above	<u>\$ 1,076</u>	<u>\$ 1,091</u>	<u>\$ 2,620</u>	<u>\$ 2,610</u>

- (1) Transformation costs primarily include costs related to third-party professional consulting fees associated with business transformation and cost savings initiatives.

Net Interest Expense

Net interest expense totaled \$156 million in the second quarter of 2026, compared to \$144 million in the second quarter of 2025. Net interest expense totaled \$365 million in the first two quarters of 2026, compared to \$343 million in the first two quarters of 2025. This increase resulted primarily from decreased interest income earned on our cash and temporary cash investments due to decreased balances of cash and temporary cash investments in the first two quarters of 2026, compared to the first two quarters of 2025, partially offset by decreased interest expense on the average total outstanding debt in the first two quarters of 2026, compared to the first two quarters of 2025.

Income Taxes

The effective income tax rate was 23.6% for the second quarter of 2026 and 21.0% for the second quarter of 2025. The effective income tax rate was 23.4% for the first two quarters of 2026 and 21.2% for the first two quarters of 2025. The effective income tax rate for the second quarter of 2026 differed from the federal statutory rate due to the effect of state income taxes, partially offset by the utilization of tax credits and deductions. The effective income tax rate for the first two quarters of 2026 differed from the federal statutory rate due to the effect of state income taxes, partially offset by the utilization of tax credits and deductions including the benefit from share-based payments. The effective income tax rate for the second quarter of 2025 equaled the federal statutory rate due to the effect of state income taxes being fully offset by the utilization of tax credits and deductions including the benefit from share-based payments. The effective income tax rate for the first two quarters of 2025 differed from the federal statutory rate due to the effect of state income taxes, partially offset by the utilization of tax credits and deductions including the benefit from share-based payments, which includes the 2025 Income Tax Expense Adjusted Item.

Net Earnings and Net Earnings Per Diluted Share

Our net earnings are based on the factors discussed in the Results of Operations section.

Net earnings of \$1.05 per diluted share for the second quarter of 2026 represented an increase compared to net earnings of \$0.91 per diluted share for the second quarter of 2025. Excluding the 2026 and 2025 Adjusted Items, adjusted net earnings of \$1.09 per diluted share for the second quarter of 2026 represented an increase of 5% compared to adjusted net earnings of \$1.04 per diluted share for the second quarter of 2025. The increase in adjusted net earnings per diluted share resulted primarily from lower common shares outstanding and a decreased LIFO charge, partially offset by decreased adjusted FIFO operating profit, excluding fuel, and higher income tax expense.

Net earnings of \$2.51 per diluted share for the first two quarters of 2026 represented an increase compared to net earnings of \$2.20 per diluted share for the first two quarters of 2025. Excluding the 2026 and 2025 Adjusted Items, adjusted net earnings of \$2.67 per diluted share for the first two quarters of 2026 represented an increase of 6% compared to adjusted net earnings of \$2.53 per diluted share for the first two quarters of 2025. The increase in adjusted net earnings per diluted share resulted primarily from increased fuel earnings and lower common shares outstanding, partially offset by decreased adjusted FIFO operating profit, excluding fuel, increased interest expense and higher income tax expense.

LIQUIDITY AND CAPITAL RESOURCES

Cash Flow Information

The following table summarizes our net (decrease) increase in cash and temporary cash investments for the first two quarters of 2026 and 2025 (\$ in millions):

	Two Quarters Ended	
	August 15, 2026	August 16, 2025
Net cash provided by (used by)		
Operating activities	\$ 3,085	\$ 3,688
Investing activities	(2,395)	(2,107)
Financing activities	(2,348)	(657)
Net (decrease) increase in cash and temporary cash investments	<u>\$ (1,658)</u>	<u>\$ 924</u>

Net cash provided by operating activities

We generated \$3.1 billion of cash from operations in the first two quarters of 2026 compared to \$3.7 billion in the first two quarters of 2025. The change in net earnings including noncontrolling interests is discussed in the Results of Operations section. Other significant items affecting net cash provided by operating activities include the following:

- Cash flows from receivables were less favorable in the first two quarters of 2026, compared to the first two quarters of 2025, primarily due to the following:
 - An increase in third-party media receivables at the end of the second quarter of 2026, compared to the end of the second quarter of 2025, primarily due to general business growth and timing of cash receipts; and
 - An increase in pharmacy receivables at the end of the second quarter of 2026, compared to the fiscal year end of 2025, primarily due to timing of cash receipts and the maximum fair price provision of the Inflation Reduction Act;
- Cash flows from inventory were less favorable in the first two quarters of 2026, compared to the first two quarters of 2025, primarily due to timing, improved in-stock conditions and increased fuel inventory costs; and
- Cash flows from income taxes receivable and payable were more favorable in the first two quarters of 2026, compared to the first two quarters of 2025, due to reduced federal estimated tax payments made in the first two quarters of 2026 primarily due to applying a 2025 tax overpayment to reduce our 2026 estimated tax payments.

Cash paid for income taxes decreased in the first two quarters of 2026, compared to the first two quarters of 2025, primarily due to applying a 2025 tax overpayment to reduce our 2026 estimated tax payments.

Net cash used by investing activities

Investing activities used cash of \$2.4 billion in the first two quarters of 2026, compared to \$2.1 billion in the first two quarters of 2025. The amount of cash used by investing activities increased in the first two quarters of 2026, compared to the first two quarters of 2025, primarily due to an increase in payments for property and equipment, including payments for lease buyouts, due to the timing of major storing projects in the first two quarters of 2026, compared to the first two quarters of 2025.

Net cash used by financing activities

Cash used by financing activities was \$2.3 billion in the first two quarters of 2026, compared to \$657 million in the first two quarters of 2025. The amount of cash used by financing activities increased in the first two quarters of 2026, compared to the first two quarters of 2025, primarily due to an increase in treasury stock purchases and increased payments on long-term debt including obligations under finance leases.

Capital Investments

Capital investments, including changes in construction-in-progress payables and excluding the purchase of leased facilities, totaled \$2.7 billion for the first two quarters of 2026, compared to \$2.0 billion for the first two quarters of 2025. This increase is primarily due to the timing of major storing projects in the first two quarters of 2026, compared to the first two quarters of 2025. We expect our annual 2026 capital investments, including changes in construction-in-progress payables and excluding the purchase of leased facilities, to be relatively consistent with 2025. During the rolling four quarter period ended with the second quarter of 2026, we opened, expanded, relocated or acquired 35 supermarkets and completed 272 remodels. We define a remodel as a project that is greater than or equal to a cost of \$8 per square foot. Total supermarket square footage at the end of the second quarter of 2026 decreased 0.1% from the end of the second quarter of 2025. Excluding mergers, acquisitions and operational closings, total supermarket square footage at the end of the second quarter of 2026 increased 1.3% over the end of the second quarter of 2025.

Debt Management

As of August 15, 2026, we maintained a \$2.75 billion (with the ability to increase by \$2.0 billion, subject to certain conditions), unsecured revolving credit facility that, unless extended, terminates on September 13, 2029. Outstanding borrowings under the credit facility, commercial paper borrowings and some outstanding letters of credit reduce funds available under the credit facility. As of August 15, 2026, we had no outstanding commercial paper and no outstanding borrowings under our credit facility. The outstanding letters of credit that reduce funds available under our credit facility totaled \$4 million as of August 15, 2026.

Our credit agreement contains a financial covenant. As of August 15, 2026, we were in compliance with the financial covenant. Furthermore, management believes it is not reasonably likely that we will fail to comply with this financial covenant in the future.

Total debt, including both the current and long-term portions of obligations under finance leases, decreased \$569 million as of August 15, 2026, compared to our fiscal year end 2025 debt of \$17.6 billion. This decrease resulted primarily from the payment of \$500 million of senior notes bearing an interest rate of 3.5%.

Common Share Repurchase Programs

On December 23, 2025, we announced that our Board of Directors approved a \$2.0 billion share repurchase program to reacquire shares via open market purchase or privately negotiated transactions, including accelerated share repurchase transactions, block trades and pursuant to trades intending to comply with Rule 10b5-1 under the Exchange Act (the “December 2025 Repurchase Program”).

On December 11, 2024, we announced that our Board of Directors approved a \$7.5 billion share repurchase program to reacquire shares via open market purchase or privately negotiated transactions, including accelerated share repurchase transactions, block trades and pursuant to trades intending to comply with Rule 10b5-1 under the Exchange Act (the “December 2024 Repurchase Program”).

On December 6, 1999, our Board of Directors approved a share repurchase program to repurchase common shares to reduce dilution resulting from our employee stock option and long-term incentive plans, under which repurchases are limited to proceeds received from exercises of stock options and the tax benefits associated therewith (the “1999 Repurchase Program”). The 1999 Repurchase Program is solely funded by proceeds from stock option exercises, and the tax benefit from these exercises.

During the first two quarters of 2026, we invested \$1.3 billion to repurchase 21.2 million Kroger common shares at an average price of \$60.63 per share, which includes excise tax on the shares repurchased. These shares were reacquired under the December 2025 Repurchase Program, the December 2024 Repurchase Program, and the 1999 Repurchase Program.

The December 2024 Repurchase Program was exhausted during the first quarter of 2026. As of August 15, 2026, there was \$801 million remaining under the December 2025 Repurchase Program, which excludes excise tax on share repurchases in excess of issuances. Amounts available under the 1999 Repurchase Program are dependent upon option exercise activity. The December 2025 Repurchase Program and the 1999 Repurchase Program do not have any expiration dates, but may be suspended or terminated by our Board of Directors at any time.

Liquidity Needs

We held cash and temporary cash investments of \$1.7 billion as of August 15, 2026. We actively manage our cash and temporary cash investments in order to internally fund operating activities, support and invest in our core businesses, make scheduled interest and principal payments on our borrowings and return cash to shareholders through cash dividend payments and share repurchases. Our current levels of cash, borrowing capacity and balance sheet leverage provide us with the operational flexibility to adjust to changes in economic and market conditions. We remain committed to our dividend, and growing our dividend over time, subject to Board approval, as well as share repurchase programs and we will continue to evaluate the optimal use of any excess free cash flow, consistent with our capital allocation strategy.

We expect to meet our short-term and long-term liquidity needs with cash and temporary cash investments on hand as of August 15, 2026, cash flows from our operating activities and other sources of liquidity, including borrowings under our commercial paper program and revolving credit facility. Our short-term and long-term liquidity needs include anticipated requirements for working capital to maintain our operations, pension plan commitments, interest payments and scheduled principal payments of debt and commercial paper, servicing our lease obligations, self-insurance liabilities, capital investments, scheduled opioid settlement payments, proposed acquisition of Giant Eagle and other purchase and contractual obligations. We may also require additional capital in the future to fund organic growth opportunities, increased capacity of Delivery solutions, joint ventures or other business partnerships, property development, acquisitions, dividends and share repurchases. In addition, we generally operate with a working capital deficit due to our efficient use of cash in funding operations and because we have consistent access to the capital markets. We believe we have adequate coverage of our debt covenants to continue to maintain our current investment grade debt ratings and to respond effectively to competitive conditions.

For additional information about our debt activity in the first two quarters of 2026, see Note 2 to the Consolidated Financial Statements.

CRITICAL ACCOUNTING ESTIMATES

We have chosen accounting policies that we believe are appropriate to report accurately and fairly our operating results and financial position, and we apply those accounting policies in a consistent manner. Our significant accounting policies are summarized in Note 1 to the Consolidated Financial Statements included in our Annual Report on Form 10-K for the fiscal year ended January 31, 2026.

The preparation of financial statements in conformity with GAAP requires us to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenues and expenses and related disclosures of contingent assets and liabilities. We base our estimates on historical experience and other factors we believe to be reasonable under the circumstances, the results of which form the basis for making judgments about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results could vary from those estimates. There has been no material change to our critical accounting estimates since the filing of our Annual Report on Form 10-K for the fiscal year ended January 31, 2026.

Item 3. Quantitative and Qualitative Disclosures About Market Risk.

There have been no material changes in our exposure to market risk from the information provided in Item 7A. Quantitative and Qualitative Disclosures About Market Risk in our Annual Report on Form 10-K for the fiscal year ended January 31, 2026.

As of August 15, 2026, we had no forward-starting interest rate swap agreements or treasury lock agreements outstanding.

Item 4. Controls and Procedures.

The Chief Executive Officer and the Chief Financial Officer, together with a disclosure review committee appointed by the Chief Executive Officer, evaluated Kroger's disclosure controls and procedures as of the quarter ended August 15, 2026, the end of the period covered by this Form 10-Q. Based on that evaluation, Kroger's Chief Executive Officer and Chief Financial Officer concluded that Kroger's disclosure controls and procedures (as defined in Rules 13a-15(e) and 15(d)-15(e) of the Exchange Act) were effective as of the end of the period covered by this Form 10-Q to provide reasonable assurance that information required to be disclosed by us in the reports that we file or submit under the Exchange Act is recorded, processed, summarized and reported within the time periods specified in the SEC's rules and forms, and that such information is accumulated and communicated to our management, including the Chief Executive Officer and Chief Financial Officer, as appropriate, to allow timely decisions regarding required disclosure.

The Company is in the process of implementing a broad, multi-year, technology transformation project to modernize mainframe, middleware and legacy systems to achieve better process efficiencies across customer service, merchandising, sourcing, payroll and accounting through the use of various solutions. There have been no material additional implementations of modules during the quarter ended August 15, 2026. As the Company's technology transformation project continues, the Company continues to emphasize the maintenance of effective internal control and assessment of the design and operating effectiveness of key control activities throughout development and deployment of each phase and will evaluate as additional phases are deployed.

There were no changes in Kroger's internal control over financial reporting that materially affected, or were reasonably likely to materially affect, Kroger's internal control over financial reporting during the quarter ended August 15, 2026.

PART II - OTHER INFORMATION

Item 1. Legal Proceedings.

Incorporated by reference herein is information regarding certain legal proceedings in which we are involved as set forth under "Litigation" contained in Note 5 – "Commitments and Contingencies" in the Notes to the Consolidated Financial Statements in Item 1 of Part I of this Form 10-Q.

Item 2. Unregistered Sales of Equity Securities and Use of Proceeds.

(c)

ISSUER PURCHASES OF EQUITY SECURITIES

Period⁽¹⁾	Total Number of Shares Purchased⁽²⁾	Average Price Paid Per Share⁽²⁾	Total Number of Shares Purchased as Part of Publicly Announced Plans or Programs⁽³⁾	Approximate Dollar Value of Shares that May Yet Be Purchased Under the Plans or Programs⁽⁴⁾⁽⁵⁾ (in millions)
First four weeks				
May 24, 2026 to June 20, 2026	110	\$ 64.65	—	\$ 1,830
Second four weeks				
June 21, 2026 to July 18, 2026	13,454,813	\$ 59.76	12,953,130	\$ 1,089
Third four weeks				
July 19, 2026 to August 15, 2026	5,053,538	\$ 58.13	5,053,494	\$ 801
Total	18,508,461	\$ 59.32	18,006,624	\$ 801

- (1) The reported periods conform to our fiscal calendar composed of thirteen 28-day periods. The second quarter of 2026 contained three 28-day periods.
- (2) Includes (i) shares repurchased under the December 2025 Repurchase Program, (ii) shares repurchased under the 1999 Repurchase Program and (iii) 501,837 shares that were surrendered to the Company by participants under our long-term incentive plans to pay for taxes on restricted stock awards. Excise tax on share repurchases in excess of issuances is reflected in the average price paid per share.
- (3) Represents shares repurchased under the December 2025 Repurchase Program and the 1999 Repurchase Program.
- (4) On December 6, 1999, we announced the 1999 Repurchase Program. On December 23, 2025, we announced that our Board of Directors approved the December 2025 Repurchase Program. The amounts shown in this column reflect the amount remaining under the December 2025 Repurchase Program as of the specified period end dates. Amounts available under the 1999 Repurchase Program are dependent upon option exercise activity. The authority remaining under the December 2025 Repurchase Program and the 1999 Repurchase Program do not have any expiration dates, but may be suspended or terminated by our Board of Directors at any time.
- (5) Excludes excise tax on share repurchases in excess of issuances.

Item 5. Other Information.

(c)

In the second quarter of 2026, no director or officer (as defined in Exchange Act Rule 16a-1(f)) of the Company adopted or terminated a Rule 10b5-1 trading arrangement or non-Rule 10b5-1 trading arrangement for the purchase or sale of securities of the Company, within the meaning of Item 408 of Regulation S-K.

Item 6. Exhibits.

- EXHIBIT 10.1* - [The Kroger Co. Executive Severance Plan.](#)
- EXHIBIT 10.2* - [Employment Agreement between The Kroger Co. and Emilee De Martino dated May 22, 2026.](#)
- EXHIBIT 10.3* - [Employment Agreement between The Kroger Co. and Nate Faust dated July 29, 2026.](#)
- EXHIBIT 10.4* - [Employment Agreement between The Kroger Co. and Mark Ibbotson dated August 24, 2026.](#)
- EXHIBIT 31.1* - [Rule 13a—14\(a\) / 15d—14\(a\) Certifications — Principal Executive Officer.](#)
- EXHIBIT 31.2* - [Rule 13a—14\(a\) / 15d—14\(a\) Certifications — Principal Financial Officer.](#)
- EXHIBIT 32.1* - [Section 1350 Certifications.](#)
- EXHIBIT 101.INS* - Inline XBRL Instance Document - the instance document does not appear in the Interactive Data File because its XBRL tags are embedded within the Inline XBRL document.
- EXHIBIT 101.SCH* - Inline XBRL Taxonomy Extension Schema Document.
- EXHIBIT 101.CAL* - Inline XBRL Taxonomy Extension Calculation Linkbase Document.
- EXHIBIT 101.DEF* - Inline XBRL Taxonomy Extension Definition Linkbase Document.
- EXHIBIT 101.LAB* - Inline XBRL Taxonomy Extension Label Linkbase Document.
- EXHIBIT 101.PRE* - Inline XBRL Taxonomy Extension Presentation Linkbase Document.
- EXHIBIT 104 - Cover Page Interactive Data File - The cover page interactive data file does not appear in the Interactive Data File because its XBRL tags are embedded within the Inline XBRL document.

*Filed herewith

SIGNATURES

Pursuant to the requirements of the Securities Exchange Act of 1934, the Registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

THE KROGER CO.

Dated: September 18, 2026

By: /s/ Gregory S. Foran

Gregory S. Foran
Chief Executive Officer
(principal executive officer)

Dated: September 18, 2026

By: /s/ David J. C. Kennerley

David J. C. Kennerley
Executive Vice President and Chief Financial Officer
(principal financial officer)

The Kroger Co. Executive Severance Plan

1. Purpose and Status of the Plan. The purpose of The Kroger Co. Executive Severance Plan (the “**Plan**”) is to provide severance benefits to a select group of management and highly compensated employees as described herein, who experience a Qualifying Termination and who otherwise meet the terms of the Plan. This Plan is an unfunded welfare benefit plan and all payments described herein shall be made from the general assets of the Company.

2. Certain Defined Terms. Certain terms used herein have the definitions given to them in the first place in which they are used, and all other defined terms have the meanings set forth below in this Section 2.

- (a) “**Annual Base Salary**” means a Participant’s regular rate of annual base salary in effect immediately preceding such Participant’s Qualifying Termination.
 - (b) “**Board**” means the Board of Directors of The Kroger Co. (“Kroger” or “Company”).
 - (c) “**Cause**” means a Participant’s:
 - i. failure to substantially perform the Participant’s duties (other than by reason of disability) with respect to the Company,
 - ii. breach of fiduciary duty to the Company,
 - iii. dishonesty, fraud, alcohol or illegal drug abuse, or misconduct with respect to the business or affairs of the Company,
 - iv. willful violation of the policies of the Company after receiving written notice of such violation, or
 - v. conviction of a felony or crime involving moral turpitude.
 - (d) “**CEO**” means the Chief Executive Officer of the Company, as then currently designated by the Board.
 - (e) “**Change in Control**” means a “Change in Control” as defined under The Kroger Co. Employee Protection Plan, as amended from time to time.
 - (f) “**Committee**” means the Compensation and Talent Development Committee of the Board.
 - (g) “**Company**” means The Kroger Co.
-

- (h) “**Plan**” means The Kroger Co. Executive Severance Plan.
- (i) “**Plan Administrator**” means the Committee.
- (j) “**Qualifying Termination**” means an involuntary termination of a Participant’s employment by the Company other than for Cause, death, disability or a Change in Control. The Company shall provide written notice of the Qualifying Termination, and the date of a Qualifying Termination shall be the Participant’s separation from service with the Company in accordance with the notice.
- (k) “**Severance Multiple**” means (i) with respect to the Chief Executive Officer of the Company, one and one half (1.5); and (ii) for other Participants, one (1).
- (l) “**Target Bonus**” means the Participant’s annual incentive target under the Corporate Annual Incentive Plan (the “AIP”), based on the Participant’s target bonus percentage for the fiscal year in which the Qualifying Termination occurs, expressed as a dollar amount; provided that if the Participant’s annual incentive target has not been established for such fiscal year at the time of the Qualifying Termination, “Target Bonus” shall mean the Participant’s annual incentive target for the immediately preceding fiscal year.

3. Eligibility. This Plan shall apply solely with respect to the Company’s executive employees who (i) are designated as a senior vice president, an executive vice president or the CEO in a pay level 28E through 32E, (ii) has a Qualifying Termination, and (iii) complies with the requirements of Section 10 (“**Participants**”).

4. Term of the Plan. This Plan is adopted on September 17, 2026 (the “Effective Date”), and shall continue until terminated in accordance with Section 6.

5. Administration of the Plan. The Plan shall be administered by the Committee. The Committee may delegate all or any portion of its duties to any person and may from time to time revoke such authority and delegate it to another person. Any such delegation to an employee or officer of the Company will automatically terminate when he or she ceases to be an employee or officer. No person may act as the Plan Administrator in connection with any decision that directly affects his or her own benefit under the Plan. All actions taken and all determinations by the Committee shall be final and binding on all persons claiming any interest in or under this Plan.

6. Amendment or Termination of Plan. Following the Effective Date, the Committee reserves the right to amend or terminate the Plan at any time, without prior notice to Participants; provided that the termination or amendment of this Plan shall not affect any obligations under this Plan that have arisen as a result of Participants who have experienced a Qualifying Termination prior to the date of such amendment or termination.

7. **Severance Benefits Upon a Qualifying Termination.** Upon a Qualifying Termination, a Participant shall, subject to the terms and conditions of this Plan including, but not limited to, Section 9 (Clawback) and Section 10 (Release and Restrictive Covenant Requirements), be entitled to receive the following:

(a) Severance Payment. Participants shall be paid a severance payment (the “**Severance Amount**”) equal to (i) the Participant’s Severance Multiple in accordance with Section 2(k), multiplied by (ii) the sum of the Participant’s Annual Base Salary and Target Bonus in accordance with Sections 2(a) and 2(l). Severance benefits shall be paid in substantially equal installments for the applicable duration in accordance with the normal payroll practices for such Participants over 18 months for the CEO and twelve months for all other Participants.

(b) Prorated Target Bonus. If a Participant incurs a Qualifying Termination prior to the end of the fiscal year, the Participant’s Target Bonus shall be prorated for the total number of days worked in the Company’s fiscal year through the date of the Qualifying Termination. The amount of such pro-rated Target Bonus will be paid subject to achievement of the applicable business performance goals under the AIP at the end of the fiscal year, and will be paid to the Participant, subject to taxes and other applicable deductions, at the same time as Target Bonuses are paid to participants generally (typically March following the end of the fiscal year). Any such payment shall be subject to the terms and conditions of the AIP.

(c) COBRA continuation coverage. Following the Participant’s Qualifying Termination, and to the extent the Participant is participating in Company sponsored medical and dental benefits, the Company shall offer such Participants COBRA continuation coverage, and conditioned upon the Participant electing to enroll in such coverage, the Company shall pay such Participant a lump sum payment equal (in gross) to the cost of COBRA premiums (determined based upon the rate of COBRA premiums and the level and type of medical and dental coverage provided to the Participant as of the date of the Qualifying Termination) for the number of months based on the Participant’s Severance Multiple in accordance with Section 2(k) (18 months for the CEO and 12 months for all other Participants). In order to receive such coverage, the Participant must take all necessary and appropriate steps to enroll in such coverage. The lump sum payment shall be paid as soon as administratively practicable in accordance with the normal payroll practices for such Participants.

(d) Outplacement Assistance Services. The Company will reimburse executive outplacement assistance services for a Participant who is the CEO for the first eighteen (18) months following the date of Qualifying Termination with a maximum reimbursement of \$30,000; and for a Participant other than the CEO for the first twelve (12) months following the date of Qualifying Termination with a maximum reimbursement of \$20,000, or until the Participant secures new employment, whichever occurs first. The Company shall reimburse the Participant thirty (30) days following receipt of such reimbursement request and documentation evidencing such expenses as the Company may reasonably require but not later than the last day of the calendar year following the year in which the expense is incurred as more fully described in Section 17(c)(iii) of this Plan.

(e) Equity awards. Upon a Qualifying Termination, a Participant's outstanding equity awards granted under The Kroger Co. Amended and Restated 2019 Long Term Incentive Plan (or any predecessor or successor equity incentive plan of the Company) shall be treated as follows: (i) Upon a Qualifying Termination, a Participant shall receive a prorated portion of his or her outstanding unvested stock options and restricted stock units with such prorated portion determined by multiplying the total number of shares subject to the applicable award by a fraction, the numerator of which is the number of full weeks elapsed from the applicable grant date through the date of the Qualifying Termination, and the denominator of which is the total number of full weeks between the grant date and the final vesting date, reduced by any shares subject to such award that have previously vested, if and only if the Participant executes and returns to the Company the attendant Amendment to Stock Option Grant Agreements and Restricted Stock Grant Agreements. A Participant shall have three (3) months from the date of the Qualifying Termination within which to exercise any vested stock options, unless any such options are set to expire at an earlier date, in which event the earlier expiration date will apply; and (ii) The Participant will be eligible to receive a pro-rated portion of performance units under any outstanding long-term incentive plans ("LTIP"), based on performance results over each full three-year period, prorated for the number of full weeks of active employment during each performance period divided by the total number of weeks in each performance period. The number of performance units paid out under each LTIP will be contingent on the achievement of the applicable business performance goals under each LTIP at the end of each performance period. The performance units will be paid, subject to taxes and other applicable deductions, in Kroger common shares, along with dividend equivalents for each performance period on the number of issued common shares, at the same time as performance units are paid to participants generally under the LTIPs. Any such payment will be subject to the terms and conditions of the LTIP. Notwithstanding any other provision of this Section 7(e), the settlement of any equity awards that constitute nonqualified deferred compensation subject to Section 409A of the Internal Revenue Code of 1986, as amended ("Code") shall be made in accordance with the requirements of Section 409A of Code and the applicable award agreement, including any required delay in payment for "specified employees" as more fully described in Section 17(b) of this Plan.

8. Other Benefits. Participants shall be paid all accrued and unpaid vacation (including “banked” vacation), if any, as of the Participant’s date of Qualifying Termination in accordance with Company policy. Vacation shall be paid as soon as administratively practicable in accordance with normal payroll practices for such Participant.

9. Clawback. Any portion of the severance benefits in Section 7 that constitute “incentive-based compensation” within the meaning of Rule 10D-1 under the Securities Exchange Act of 1934, as amended, shall be subject to recovery in accordance with The Kroger Co. Policy on Incentive-Based Compensation Recovery (the “SEC Clawback Policy”).

10. Release and Restrictive Covenant Requirement. As a condition to receiving severance benefits upon a Qualifying Termination in accordance with Section 7 under the Plan, each Participant is required to execute (and to not revoke) a release and execute a restrictive covenant agreement (including, but not limited to, non-competition, non-solicitation, confidentiality and non-disparagement provisions), in accordance with applicable law, in the time prescribed by the Company following the date of such Participant’s Qualifying Termination. Any obligation of the Company to provide severance benefits of any kind in any form pursuant to this Plan shall immediately terminate if the Participant breaches any obligation under the release or restrictive covenant agreement. Any recovery in accordance with the SEC Clawback Policy pursuant to Section 9 of this Agreement shall have no effect on the validity of the release and restrictive covenant agreement.

11. Claims Procedure. It is not normally necessary to file a claim in order to receive benefits under this Plan. However, if a Participant feels he or she has been improperly denied benefits, a Participant may file a claim for benefits in writing to the Plan Administrator. If the Plan Administrator or its delegate denies the claim, in whole or in part, the Plan Administrator or its delegate shall furnish the Participant with written notice of the denial of his/her claim within ninety (90) days of receipt of the claim. If the Plan Administrator or its delegate determines that special circumstances require an extension of time to process the claim, the Plan Administrator or its delegate will notify the applicant of the reason for the extension prior to the expiration of the initial 90-day period. An extension of time for deciding a claim cannot be for more than an additional 90 days. The denial of the claim shall be written in a manner calculated to be understood by the applicant and shall contain the specific reasons for such denial, specific references to pertinent Plan provisions on which the denial is based, a description of additional material or information which is needed to complete the claim and why such material information is necessary, and an explanation of the Plan's appeal procedure and right to bring a civil action under Section 502(a) of the Employee Retirement Income Security Act of 1974, as amended (“ERISA”) following the denial of claim on appeal.

Within sixty (60) days after the receipt of a notice that a Participant's claim was denied, the Participant may appeal the denial of his/her claim to the Plan Administrator or its delegate in writing stating the reason for his/her appeal and submitting any issues or comments for the Plan Administrator or its delegate's review. A Participant shall be provided an opportunity to submit written comments, documents, records, and other information relating to the claim and shall be provided, upon request and free of charge, reasonable access to, and copies of, all documents, records, and other information relevant to the claim for benefits. A decision on appeal shall be made within a reasonable period of time, but generally within sixty (60) days of receipt of an appeal. If the Plan Administrator or its delegate determines that special circumstances require an extension of time to decide the appeal, the Plan Administrator or its delegate will notify the applicant of the reason for the extension prior to the expiration of the initial 60-day period. An extension of time cannot be for more than an additional 60 days. The Plan Administrator or its delegate shall mail to the applicant a written notice of its decision setting forth, in a manner calculated to be understood by the applicant, the specific reasons for its decision and the specific references to the pertinent Plan provisions on which its decision was based and a statement that the applicant is entitled to receive, upon request and free of charge, reasonable access to, and copies of, all documents records, and other information relevant to the claim for benefits and a statement describing any voluntary appeal procedures offered by the Plan and that the applicant has a right to bring a civil action under Section 502(a) of ERISA.

No legal action may be brought by or on behalf of a Participant concerning any claim for benefits under the Plan unless (a) all claims and appeals procedures established by the Plan Administrator have been exhausted, and (b) the action is properly filed within one (1) year from the date of the final decision on appeal.

12. Severability; Waiver. If any provision of this Plan or the application thereof is held invalid or unenforceable, the invalidity or unenforceability thereof shall not affect any other provisions of this Plan which can be given effect without the invalid or unenforceable provision, and to this end the provisions of this Plan are to be severable. No waiver by either party of any breach by the other party of any provision or conditions of this Plan shall be deemed to be a waiver of any other provision or condition at the same or any prior or subsequent time.

13. No Assignment of Benefits. Except as otherwise provided herein or by law, no right or interest of any Participant under the Plan shall be assignable or transferable, in whole or in part, either directly or by operation of law or otherwise, including without limitation by execution, levy, garnishment, attachment, pledge or in any manner; and no attempted assignment or transfer thereof shall be effective.

14. Death. This Plan shall inure to the benefit of and be enforceable by a Participant's personal or legal representatives, executors, administrators, successors, heirs, distributees, devisees and legatees. If a Participant shall die while any amount would still be payable to the Participant hereunder (other than amounts which, by their terms, terminate upon the death of the Participant), all such amounts, unless otherwise provided herein, shall be paid in accordance with the terms of this Plan to the executors, personal representatives or administrators of the Participant's estate.

15. Overpayments. To the fullest extent permitted by applicable law, the Company may recover any overpayment of benefits made to a Participant or to a Participant's estate under this Plan and/or offset any overpayment made to the Participant, in whole or in part, against any benefits or other amount the Company owes or would otherwise owe the Participant or the Participant's estate.

16. Tax Withholdings. All payments made and benefits provided hereunder shall be subject to all applicable federal, state, local and foreign tax withholding requirements.

17. Section 409A.

- (a) General. It is intended that payments and benefits made or provided under this Plan shall not result in penalty taxes or accelerated taxation pursuant to Section 409A of the Internal Revenue Code of 1986, as amended (the "**Code**"), and the Plan shall be interpreted and administered in accordance with that intent. If any provision of the Plan would otherwise conflict with or frustrate this intent, that provision will be interpreted and deemed amended so as to avoid the conflict. Any payments that qualify for the "short-term deferral" exception, the separation pay exception or another exception under Section 409A of the Code shall be paid under the applicable exception. For purposes of the limitations on nonqualified deferred compensation under Section 409A of the Code, each payment of compensation under this Plan shall be treated as a separate payment of compensation for purposes of applying the exclusion under Section 409A of the Code for short-term deferral amounts, the separation pay exception or any other exception or exclusion under Section 409A of the Code. In no event may a Participant, directly or indirectly, designate the calendar year of any payment under this Plan. Despite any contrary provision of this Plan, any references to termination of employment or date of termination shall mean and refer to the date of a Participant's "separation from service," as that term is defined in Section 409A of the Code and Treasury regulation Section 1.409A-1(h).

- (b) Delay of Payment. Notwithstanding any other provision of this Plan to the contrary, if a Participant is considered a “specified employee” for purposes of Section 409A of the Code (as determined in accordance with the methodology established by the Company as in effect on the termination date), any payment that constitutes nonqualified deferred compensation within the meaning of Section 409A of the Code that is otherwise due to a Participant under this Plan during the six (6)-month period immediately following a Participant’s separation from service (as determined in accordance with Section 409A of the Code) on account of a Participant’s separation from service shall be accumulated and paid to such Participant on the first (1st) business day of the seventh (7th) month following such Participant’s separation from service (the “***Delayed Payment Date***”). If such Participant dies during the postponement period, the amounts and entitlements delayed on account of Section 409A of the Code shall be paid to the personal representative of such Participant’s estate on the first to occur of the Delayed Payment Date or thirty (30) calendar days after the date of his or her death.
- (c) Reimbursement and In-Kind Benefits. Notwithstanding anything to the contrary in this Plan, all reimbursements and in-kind benefits provided under this Plan that are subject to Section 409A of the Code shall be made in accordance with the requirements of Section 409A of the Code, including, where applicable, the requirement that (i) any reimbursement is for expenses incurred during the Participant’s lifetime or during a shorter period of time specified in this Plan; (ii) the amount of expenses eligible for reimbursement, or in-kind benefits provided, during a calendar year may not affect the expenses eligible for reimbursement, or in-kind benefits to be provided, in any other calendar year; (iii) the reimbursement of an eligible expense will be made no later than the last day of the calendar year following the year in which the expense is incurred; and (iv) the right to reimbursement or in-kind benefits is not subject to liquidation or exchange for another benefit.

18. Headings. The headings and captions herein are provided for reference and convenience only, shall not be considered part of the Plan, and shall not be used in construction of the Plan.

19. Notices. Any notice or other communication required or permitted pursuant to the terms hereof shall be deemed to have been duly given when delivered or mailed by United States Mail, first class, postage prepaid, addressed to the intended recipient at his, her or its last known address.

20. Successors. This Plan shall be binding upon the successors and assigns of the Company.

21. Governing Law and Venue. This Plan shall be governed by, construed and enforced under and in accordance with the laws of the State of Ohio without regard to principles of conflicts of laws to the extent not preempted by Federal law, which shall otherwise control. The United States District Court for the Southern District of Ohio in Cincinnati is the exclusive, proper venue for any action involving any dispute relating to or arising from the Plan between any individual and the Company or the Plan Administrator.

IN WITNESS WHEREOF, The Kroger Co. has caused the Plan to be duly adopted as of the 17th day of September, 2026.

THE KROGER CO.

By: /s/ George H. Vincent
Name: George H. Vincent
Title: Executive Vice President, General
Counsel and Secretary



THE KROGER CO.

1014 VINE STREET

CINCINNATI, OHIO 45202-1100

May 22, 2026

Emilee,

We are pleased to offer you the position of EVP and Chief People Officer, effective July 6, 2026 reporting to me. The position will be based in Cincinnati, Ohio.

Your annual salary will be \$750,000 with an incentive plan target of 100% of base pay (prorated based on your date of hire). You will be eligible for an annual salary merit review in April of each year beginning April 1, 2027. The annual incentive plan is currently paid out in March of each year based on prior year company performance as described in the plan for that year. To receive an annual incentive plan payout, you must be an active associate on the last day of the fiscal year for which the incentive was earned.

Within 30 days of your date of hire, the Company will pay you a \$250,000 cash bonus payment, less applicable taxes. By signing this letter, you agree that in the event you are separated from your employment from Kroger within 12 months of your hire for any reason other than an involuntary termination (that is, Kroger terminating your employment) or your death or significant disability, you will be obliged to repay to Kroger the entirety of any amount Kroger has paid to you in connection with your cash bonus payment amount. You agree that Kroger will and you will hereby authorize to withhold from your final paycheck and/or from any other forms of final compensation otherwise owed to you the amount you owe to Kroger in relation to the terms of this paragraph, and you agree to pay all of Kroger's costs and expenses (including without limitation reasonable attorney's fees) incurred in any other effort to collect repayment you owe to Kroger in accord with the terms of this paragraph.

On the first of the month following your date of hire, you will be eligible for our comprehensive health care plans, along with stock purchase and life and income protection plans. You will also be eligible for 4 weeks vacation, with the amount prorated in 2026 based on your date of hire. As an executive of the company, your benefits will also include our deferred compensation program. Please review the executive benefits brochure you will receive after your hire date for complete details.

You will be awarded a special grant of \$1,500,000 in restricted shares and performance units (split equally). The restricted shares will vest ratably over 3 years (one-third per year from the date of grant). The performance units will align with the 2026-2028 Long-Term Incentive Plan and payout at the end of the measurement period in March 2029. This special grant will be awarded in September 2026, based on Equity Awards Committee approval. Annually, in March you will be eligible for a long-term equity grant, commensurate with your role and based on meeting performance expectations in a fiscal year. Assuming your performance is consistently delivering expectations, your annual grant amount will be \$2,000,000. The 2027 grant award mix will align with other members of the executive team which is typically 20% stock options, 30% restricted shares and 50% performance units.



THE KROGER CO.

1014 VINE STREET

CINCINNATI, OHIO 45202-1100

A policy for a standard general severance benefit for officers of the company is currently under review by the Compensation and Talent Development Committee. We expect that this policy will be market competitive for a Chief People Officer. You will also be covered by the Kroger Employee Protection Plan for Change in Control Severance Benefits.

To more closely align the interests of Kroger's officers and directors with those of our shareholders, the Board of Directors has adopted stock ownership guidelines. These guidelines require non-employee directors, executive officers, and other key executives to acquire and hold a minimum dollar value of Kroger common shares within 5 years of entering a role subject to these requirements. The target value of stock ownership for your role equals 3 times your base salary.

Until the ownership requirements are met, you must hold 100% of common shares issued, including performance units earned and shares received upon the exercise of stock options or upon the vesting of restricted stock, except those necessary to pay the exercise price of the options and/or applicable taxes. While working to achieve your target level of ownership, you must also retain all Kroger common shares unless a disposition is approved by the Board of Directors or its Compensation Committee.

While the role is based in Cincinnati, Ohio you will continue to reside in Chicago, Illinois until approximately August 2027. During that time, the company will consider your travel between Chicago and Cincinnati along with company-provided temporary living accommodations as a business expense. You will be responsible for day-to-day living expenses including food and meals. You also qualify for the Relocation Program. The Relocation Policy Summary is attached. Your relocation package includes one month of base pay at the new salary to assist with miscellaneous relocation expenses not covered in the relocation policy, which will be generated with your first payroll processing once you have initiated your relocation to Cincinnati (approximately August 2027).

As an officer of the company, you are ineligible for any tax gross ups with the exception of relocation expenses.

This offer is contingent on successful completion of a customary background check and Board of Director approval. Signing below confirms all the details of our offer, terms and conditions of employment but does not constitute any express, implied or real contracts of employment, as your employment will be at-will.

Please indicate your decision below, sign, date and email the offer letter to Theresa Monti's attention at theresa.monti@kroger.com within five (5) business days of receipt. The terms of this offer letter will expire as of May 27, 2026, if your signed acceptance is not received as of the end of that business day.



THE KROGER CO.

1014 VINE STREET

CINCINNATI, OHIO 45202-1100

Emilee, we appreciate you considering this role with Kroger. We believe you will make a big difference in our success and the achievement of our vision. We personally look forward to working closely with you.

Please feel free to contact me if you have any additional questions concerning this offer.

Sincerely,

Greg Foran
Chief Executive Officer
The Kroger Co.

I agree to the terms of this offer letter:

☒ Yes

☐ No

/s/ Emilee De Martino

Signature

5/22/2026

Date

cc: Theresa Monti, Vice President Total Rewards



THE KROGER CO.

1014 VINE STREET

CINCINNATI, OHIO 45202-1100

Date: July 29, 2026

To: Nate Faust
From: Greg Foran
Subject: Executive New Hire

Nate,

We are pleased to offer you the position of EVP, Chief eCommerce Officer effective September 1, 2026 reporting to me. The position will be based in Cincinnati, Ohio.

Your annual salary will be \$850,000 with an annual incentive plan target of 100% of base pay (prorated based on your date of hire). You will be eligible for an annual salary merit review in April of each year beginning April 1, 2027. The annual incentive plan is currently paid out in March of each year based on prior year company performance as described in the plan for that year. To receive an annual incentive payout, you must be an active associate on the last day of our fiscal year for which the incentive was earned.

On the first of the month following your date of hire, you will be eligible for our comprehensive health care plans along with, stock purchase and life and income protection plans. You will also be eligible for 5 weeks of vacation, with the amount pro-rated in 2026 based on your date of hire. As an executive of the company, your benefits will also include long-term disability, deferred compensation, accidental death and dismemberment and the long-term incentive plan. Please review the executive benefits brochure you will receive after your hire date for complete details.

You will be awarded a special grant of \$1,300,000 in restricted shares and performance units (split equally). The restricted shares will vest ratably over 3 years (one-third per year from the date of grant). The performance units will align with the 2026-2028 Long-Term Incentive Plan and payout at the end of the measurement period in March 2029. You will also be awarded a special grant of \$1,000,000 in restricted shares that will vest ratably over 2 years (one-half per year from the date of grant). These special grants will be awarded in December 2026, based on Equity Awards Committee approval. Annually, in March you will be eligible for a long-term equity grant, commensurate with your role and based on meeting performance expectations in a fiscal year. Assuming your performance is consistently delivering expectations, your annual grant amount will be \$2,600,000. The 2027 grant award mix will align with other members of the executive team which is typically 20% stock options, 30% restricted shares and 50% performance units.

A policy for a standard general severance benefit for officers of the company is currently under review by the Compensation and Talent Development Committee. We expect that this policy will be market competitive for an Executive Vice President. You will also be covered by the Kroger Employee Protection Plan for Change in Control Severance Benefits.

To more closely align the interests of Kroger's officers and directors with those of our shareholders, the Board of Directors has adopted stock ownership guidelines. These guidelines require non-employee directors, executive officers, and other key executives to acquire and hold a minimum dollar value of Kroger common shares within 5 years of entering a role subject to these requirements. The target value of stock ownership for your role equals 3 times your base salary.

Until the ownership requirements are met, you must hold 100% of common shares issued, including performance units earned and shares received upon the exercise of stock options or upon the vesting of restricted stock, except those necessary to pay the exercise price of the options and/or applicable taxes. While working to achieve your target level of ownership, you must also retain all Kroger common shares unless a disposition is approved by the CEO.

You will be provided up to 90 days of temporary housing in Cincinnati, Ohio.

As an officer of the company, you are ineligible for any tax gross ups with the exception of relocation expenses.



THE KROGER CO.

1014 VINE STREET

CINCINNATI, OHIO 45202-1100

This offer is contingent on successful completion of a customary background check and Board of Director approval. Signing below confirms all the details of our offer, terms and conditions of employment but does not constitute any express, implied or real contracts of employment, as your employment will be at-will.

Please indicate your decision below, sign, date and email the offer letter to Theresa Monti's attention at theresa.monti@kroger.com within five (5) business days of receipt. The terms of this offer letter will expire as of Wednesday August 5, 2026 if your signed acceptance is not received as of the end of that business day.

Nate, we appreciate you considering this role with Kroger. We believe you will make a big difference in our success and the achievement of our vision. I personally look forward to working closely with you.

Please feel free to contact me if you have any additional questions concerning this offer.

Sincerely,

Greg Foran
Chief Executive Officer
The Kroger Co.

I agree to the terms of this offer letter:

☒ Yes

☐ No

/s/ Nate Faust
Signature

8/2/2026
Date

cc: Tim Massa, EVP & Chief Associate Experience Officer



THE KROGER CO.

1014 VINE STREET

CINCINNATI, OHIO 45202-1100

Date: August 24, 2026

To: Mark Ibbotson
From: Greg Foran
Subject: Executive New Hire

Mark,

We are pleased to offer you the position of EVP, Chief Store Operations Officer effective September 14, 2026 reporting to me. The position will be based in Cincinnati, Ohio.

Your annual salary will be \$1,000,000 with an annual incentive plan target of 110% of base pay (prorated based on your date of hire). You will be eligible for an annual salary merit review in April of each year beginning April 1, 2027. The annual incentive plan is currently paid out in March of each year based on prior year company performance as described in the plan for that year. To receive an annual incentive payout, you must be an active associate on the last day of our fiscal year for which the incentive was earned.

On the first of the month following your date of hire, you will be eligible for our comprehensive health care plans along with, stock purchase and life and income protection plans. You will also be eligible for 5 weeks of vacation, with the amount pro-rated in 2026 based on your date of hire. As an executive of the company, your benefits will also include long-term disability, deferred compensation, accidental death and dismemberment and the long-term incentive plan. Please review the executive benefits brochure you will receive after your hire date for complete details.

You will be awarded a special grant of \$2,500,000 in restricted shares and performance units (split equally). The restricted shares will vest ratably over 3 years (one-third per year from the date of grant). The performance units will align with the 2026-2028 Long-Term Incentive Plan and payout at the end of the measurement period in March 2029. You will also be awarded a special grant of \$1,000,000 in restricted shares that will vest ratably over 2 years (one-half per year from the date of grant). These special grants will be awarded in December 2026, based on Equity Awards Committee approval. Annually, in March you will be eligible for a long-term equity grant, commensurate with your role and based on meeting performance expectations in a fiscal year.

Assuming your performance is consistently delivering expectations, your annual grant amount will be \$5,000,000. The 2027 grant award mix will align with other members of the executive team which is typically 20% stock options, 30% restricted shares and 50% performance units.

A policy for a standard general severance benefit for officers of the company is currently under review by the Compensation and Talent Development Committee. We expect that this policy will be market competitive for an Executive Vice President. You will also be covered by the Kroger Employee Protection Plan for Change in Control Severance Benefits.

To more closely align the interests of Kroger's officers and directors with those of our shareholders, the Board of Directors has adopted stock ownership guidelines. These guidelines require non-employee directors, executive officers, and other key executives to acquire and hold a minimum dollar value of Kroger common shares within 5 years of entering a role subject to these requirements. The target value of stock ownership for your role equals 3 times your base salary.

Until the ownership requirements are met, you must hold 100% of common shares issued, including performance units earned and shares received upon the exercise of stock options or upon the vesting of restricted stock, except those necessary to pay the exercise price of the options and/or applicable taxes. While working to achieve your target level of ownership, you must also retain all Kroger common shares unless a disposition is approved by the CEO.

In addition, you are eligible to participate in the company's relocation program. You will be provided up to 90 days of temporary housing in Cincinnati, Ohio.

As an officer of the company, you are ineligible for any tax gross ups with the exception of relocation expenses.



THE KROGER CO.

1014 VINE STREET

CINCINNATI, OHIO 45202-1100

This offer is contingent on successful completion of a customary background check and Board of Director approval. Signing below confirms all the details of our offer, terms and conditions of employment but does not constitute any express, implied or real contracts of employment, as your employment will be at-will.

Please indicate your decision below, sign, date and email the offer letter to Theresa Monti, VP, Total Rewards' attention at theresa.monti@kroger.com within five (5) business days of receipt. The terms of this offer letter will expire as of Monday August 31, 2026 if your signed acceptance is not received as of the end of that business day.

Mark, we appreciate you considering this role with Kroger. We believe you will make a big difference in our success and the achievement of our vision. I personally look forward to working closely with you.

Please feel free to contact me if you have any additional questions concerning this offer.

Sincerely,

Greg Foran
Chief Executive Officer
The Kroger Co.

I agree to the terms of this offer letter:

☒ Yes

☐ No

/s/ Mark Ibbotson

8/31/26

Signature

Date

cc: Emilee De Martino, EVP & Chief People Officer

CERTIFICATION

I, Gregory S. Foran, certify that:

1. I have reviewed this quarterly report on Form 10-Q of The Kroger Co.;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this report;
4. The registrant's other certifying officer(s) and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and have:
 - (a) Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - (b) Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - (c) Evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - (d) Disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter (the registrant's fourth fiscal quarter in the case of an annual report) that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and
5. The registrant's other certifying officer(s) and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditors and the audit committee of the registrant's board of directors (or persons performing the equivalent functions):
 - (a) All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize and report financial information; and
 - (b) Any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Date: September 18, 2026

/s/ Gregory S. Foran

Gregory S. Foran
Chief Executive Officer
(principal executive officer)

CERTIFICATION

I, David J. C. Kennerley, certify that:

1. I have reviewed this quarterly report on Form 10-Q of The Kroger Co.;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this report;
4. The registrant's other certifying officer(s) and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and have:
 - (a) Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - (b) Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - (c) Evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - (d) Disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter (the registrant's fourth fiscal quarter in the case of an annual report) that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and
5. The registrant's other certifying officer(s) and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditors and the audit committee of the registrant's board of directors (or persons performing the equivalent functions):
 - (a) All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize and report financial information; and
 - (b) Any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Date: September 18, 2026

/s/ David J. C. Kennerley

David J. C. Kennerley

Executive Vice President and Chief Financial Officer
(principal financial officer)

NOTE: The referenced officers, based on their knowledge, furnish the following certification, pursuant to 18 U.S.C. §1350.

We, Gregory S. Foran, Chief Executive Officer, and David J. C. Kennerley, Executive Vice President and Chief Financial Officer, of The Kroger Co. (the “Company”), do hereby certify in accordance with 18 U.S.C. §1350, as adopted pursuant to Section 906 of the Sarbanes-Oxley Act of 2002, that:

1. The Quarterly Report on Form 10-Q of the Company for the period ended August 15, 2026 (the “Periodic Report”) fully complies with the requirements of Section 13(a) or 15(d) of the Securities Exchange Act of 1934 (15 U.S.C. §78m or 78o(d)); and
2. The information contained in the Periodic Report fairly presents, in all material respects, the financial condition and results of operations of the Company.

Dated: September 18, 2026

/s/ Gregory S. Foran

Gregory S. Foran
Chief Executive Officer
(principal executive officer)

/s/ David J. C. Kennerley

David J. C. Kennerley
Executive Vice President and Chief Financial Officer
(principal financial officer)

A signed original of this written statement as required by Section 906 of the Sarbanes-Oxley Act of 2002 has been provided to The Kroger Co., and will be retained by The Kroger Co. and furnished to the SEC or its staff upon request.